FMRP MCQ Revision Bank

FMRP revision package

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This bank contains 300 one-best-answer questions: 48 source-reference questions adapted from Appendix A of the supplied study guide and 252 original questions based on the teaching guide. Every question has four choices. This printable edition contains questions and choices only.

Source-reference questions retain the source's statement-combination style where used. The source questions are reproduced for scope and format practice and should not be treated as a complete syllabus.

Source-reference questions - Appendix A

Chapter 1 - Introduction

1. [Source reference | Combination choice] [FMRP §1.2.2] Which of the following asset classes / products are covered in the Blue Book?

- (a) Equity securities
- (b) Non-deliverable forwards (NDFs)
- (c) Money market instruments
- (d) OTC derivatives

Choose one:

- A. (a) and (b)
- B. (b) and (c)
- C. (b), (c) and (d)
- D. (a), (b) and (c)

2. [Source reference | Single choice] [FMRP §1.4.4] Which of the following statements relating to Capital Markets Services (CMS) licences is CORRECT?

- a. A CMS Licence holder must either be a Bank or a Merchant Bank and cannot be other types of financial institutions.
- b. Merchant Banks can carry out any regulated activities under the Securities and Futures Act (SFA) without being separately licensed as a CMS Licence holder under the SFA.
- c. Merchant Banks can ignore the business conduct requirements prescribed in the SFA in respect of the regulated activities under the SFA.
- d. The MAS must grant a CMS Licence to merchant banks in order for them to conduct any regulated activities under the SFA.

Chapter 2 - Ethics, Behavioural Standards and Professional Conduct

3. [Source reference | Single choice] [FMRP §2.3.3] Which of the following statements relating to guidelines on entertainment, gifts and favours is TRUE?

- a. Representatives can buy gifts for customers that are not so excessive that they are viewed as an offer of inducement to conduct business.
- b. IDBs cannot make lunch appointments with Representatives.
- c. IDBs must obtain permission from the Compliance Department before making any dinner appointments with customers.
- d. Without approval from the Compliance department, Representatives cannot buy gifts for customers.

4. [Source reference | Single choice] [FMRP §2.3.4] Which of the following statements relating to dealing for personal accounts is TRUE?

- a. Representatives can start trading for their own account once they have provided the account details to the Compliance department.
- b. Representatives cannot execute any personal trade on the same securities placed by customers.
- c. Representatives must avoid any conflicts of interest with their professional roles while dealing for personal accounts.
- d. Representatives should strictly not be allowed to deal for personal accounts.

5. [Source reference | Combination choice] [FMRP §2.3.2] Which of the following are considered persons deemed connected to a dealing staff member?

- (a) Friends connected through Facebook.
- (b) A nephew living in the same house as the staff.
- (c) A staff member's spouse.
- (d) Step-children of the staff member.

Choose one:

- A. (a) and (b)
- B. (b) and (c)
- C. (b), (c) and (d)
- D. (c) and (d)

6. [Source reference | Single choice] [FMRP §2.6] Under which circumstance would a Market Participant be required to submit a Misconduct Report to MAS?

- a. The Representative has been fined for smoking in a non-smoking area.
- b. The Representative has done trades which artificially inflate market prices.
- c. The Representative has done trades with a counterparty with a low credit rating.
- d. The Representative has the habit of buying lottery tickets on a weekly basis.

7. [Source reference | Single choice] [FMRP §2.5.4] Which statement most correctly describes the appropriate action a Market Participant should take when it receives money from or on behalf of a customer?

- a. The Market Participant can use the money for purposes approved by the Compliance Department.
- b. The Market Participant can use the money for purposes approved by the Head of Trading.
- c. The Market Participant cannot use the money at all.
- d. The Market Participant must use the money for any purpose as instructed by the customer.

8. [Source reference | Single choice] [FMRP §2.5.1] Under what situation must a Market Participant provide its customer with a separate written risk disclosure document as prescribed under the Securities and Futures Act?

- a. When the customer wants to open a leveraged foreign exchange trading account.
- b. When the customer wants to open a securities trading account.
- c. When the Market Participant does not perform Enhanced Due Diligence.
- d. When the trade has increased the risk exposure of the customer.

Chapter 3 - Confidentiality and Information Sharing

9. [Source reference | Single choice] [FMRP §3.3.1] Which of the following statements is TRUE about confidentiality and customer anonymity principles?

- a. Customer data should be disclosed in accordance with the applicable laws and regulations.
- b. Customer verification can only be done by checking with the customer directly.
- c. The customer must complete the account opening form in front of the employee in the bank branch.
- d. The responsibility for maintaining confidentiality of information rests with the customer.

10. [Source reference | Combination choice] [FMRP §3.2.1] Which of the following would be considered confidential information in relation to financial markets?

- (a) Customer or counterparty name, and any other information that may lead to identification.
- (b) Details of a Market Participant's order book.
- (c) Spread matrices provided by Market Participants to their clients.
- (d) Spreads on bids and offers available in the market.

Choose one:

- A. (a), (b) and (c)
- B. (b) and (c)
- C. (b), (c) and (d)
- D. (c) and (d)

11. [Source reference | Combination choice] [FMRP §3.3.1] Market Participants only disclose confidential information to internal and / or external parties under specific circumstances, such as:

- (a) When required under the Income Tax Act (Cap 134).
- (b) When required under the Banking Act, Section 47 - Banking Secrecy and Parts I and II of the Third Schedule.
- (c) To investigate or prosecute an offence that is alleged or suspected to have been committed.
- (d) When required by other Market Participants.

Choose one:

- A. (a), (b) and (c)
- B. (a) and (d)
- C. (a), (c) and (d)
- D. (b), (c) and (d)

12. [Source reference | Combination choice] [FMRP §3.4.1] Market Participants should communicate in a manner that is clear, accurate, professional and not misleading. To ensure this, Market Participants should do which of the following?

- (a) Not communicate false information.
- (b) Not provide misleading information in order to protect confidential information, for example when executing partial orders.
- (c) Decline to disclose whether their request to transact is in the full quantity of the order or not.
- (d) Not identify opinions as opinions.

Choose one:

- A. (a), (b) and (c)
- B. (b) and (c)
- C. (a) and (b)
- D. (c) and (d)

13. [Source reference | Combination choice] [FMRP §3.4.2] Which of the following are examples of inappropriate disclosure of information when providing market colour?

- (a) A bank salesperson to a hedge fund: We have seen large interest from Royal Bank of Singapore this morning.
- (b) An asset manager to a bank market maker: Can you give me some colour around the 100 point rally in GBP/USD in the past hour?
- (c) A bank salesperson to a hedge fund: We have seen large NZD/USD demand from Royal Bank of Singapore this morning.
- (d) A market maker to a hedge fund: Yen liquidity has deteriorated; it took me 15 ticks to cover a sale of 100 million USD/JPY to a Japanese automaker.

Choose one:

- A. (a) and (d)
- B. (b) and (c)

- C. (a) and (b)
- D. (c) and (d)

Chapter 4 - Governance, Risk Management and Compliance

14. [Source reference | Single choice] [FMRP §4.4] Which one of the following statements relating to segregation of duties is TRUE?

- a. Back office staff should not have any communication with front office personnel.
- b. It is acceptable for front office, middle office and back office to share access to their respective systems.
- c. Management should establish appropriate information barriers between trading, risk management and processing units.
- d. Market Participants should not share any trading profit and loss reports with the middle office.

15. [Source reference | Single choice] [FMRP §4.4] What would be an effective internal control procedure to mitigate the risk of rogue traders committing fraud?

- a. Front office personnel cannot communicate to staff in the processing unit to resolve issues.
- b. Front office personnel should not contact middle office staff to resolve trade related issues.
- c. Front office personnel should not have access rights to middle office systems to process trades.
- d. Front office personnel should not physically be at the back office department area.

16. [Source reference | Combination choice] [FMRP §4.10.1] Which of the following constitute AML and KYC requirements relevant to Market Participants?

- (a) Establish internal procedures and controls to mitigate AML and KYC risk.
- (b) Establish procedures to inform customers when a report has been made to the authorities for suspicious transactions.
- (c) Maintain records of all CDD documentation.
- (d) Perform customer due diligence for all customers.

Choose one:

- A. (a) and (b)
- B. (c) and (d)
- C. (a) and (c)
- D. (a), (c) and (d)

17. [Source reference | Single choice] [FMRP §4.9.3] Which of the following is an example of operational risk?

- a. Risk of losses as a result of an adverse movement in the markets.
- b. Risk of losses due to holding a short position in a particular financial instrument.
- c. Risk as a result of inadequate processes and controls.
- d. Risk caused by a counterparty going bankrupt.

18. [Source reference | Single choice] [FMRP §4.9.2] Which action should be taken to minimise losses when a customer fails to meet margin top-up requirements?

- a. Close out the customer's positions if margin calls remain unanswered.
- b. Contact the customer to request settlement instructions.
- c. Execute a trade for the customer that hedges against the loss-making position.
- d. Issue a contract note on the trade done.

19. [Source reference | Single choice] [FMRP §4.6.3] Which is a key control that should be implemented for off-premises dealing?

- a. Trade details of off-premises trades should be documented only on the Market Participant's letterhead.
- b. Trade details should be clearly reported to the Compliance Department.
- c. Trade details should be clearly reported to the Risk Department.
- d. Trade details should be promptly reported to the counterparty via approved communication channels.

20. [Source reference | Single choice] [FMRP §4.6] In business-continuity planning, which of the following is MOST important?

- a. A contingency plan for front-office representatives to ensure they can continue dealing in any disruption.
- b. A contingency plan for treasury operations in the front, middle and back offices to ensure operations can continue in any disruption.
- c. A contingency plan for representatives to work from home to continue treasury operations in all areas.
- d. Internal standing instructions to withhold all payments during any disruption.

21. [Source reference | Combination choice] [FMRP §4.6.2] Which statements are TRUE about the use of technology within trading and risk management?

- (a) Open-source system architecture is encouraged to allow integration of customer systems.
- (b) Representatives should have ready access to all systems to facilitate timely processing.
- (c) Sufficient capacity should be maintained for normal and peak loads.
- (d) Data confidentiality should be preserved by encrypting messages.

Choose one:

- A. (a) and (d)
- B. (b) and (d)
- C. (a) and (c)
- D. (c) and (d)

22. [Source reference | Single choice] [FMRP §4.7] Why should Market Participants obtain their own legal, tax and accounting advice before executing any OTC derivative trade?

- a. To advise on the credit risk posed by derivative transactions.
- b. To determine if their licence legally allows derivative trading.
- c. To determine the pay-out accounting structure that results in the lowest tax payable.
- d. To gain clarity on the handling of market disruptions, as well as tax and accounting implications.

23. [Source reference | Combination choice] [FMRP §4.5] Which of the following should be undertaken when a Market Participant appoints an IDB?

- (a) Conduct the Know Your Customer process of the IDB.
- (b) Determine the position limits assigned to the IDB.
- (c) Perform a credit evaluation of the IDB.
- (d) Ask the IDB to provide market colour and predict investment trends.

Choose one:

- A. (a) and (b)
- B. (c) and (d)
- C. (a), (b) and (c)
- D. (a), (c) and (d)

Chapter 5 - Execution and Handling of Orders

24. [Source reference | Single choice] [FMRP §5.10.1] What should an IDB do when it receives an order from a principal with special conditions?

- a. An IDB must accurately relay the special conditions to the counterparties.
- b. An IDB should advise the principal not to impose the special conditions.
- c. An IDB should exclude the special conditions.
- d. An IDB should increase its brokerage for orders with special conditions.

25. [Source reference | Single choice] [FMRP §5.10.1] Which action should NOT be done by IDBs?

- a. Engage in taking its own positions by executing its own trades.
- b. Provide settlement instructions to the counterparties.
- c. Provide the names of counterparties after the deal has been concluded.

- d. Relay price quotations upon receipt of an order from a counterparty.

26. [Source reference | Single choice] [FMRP §5.1.2] If a price maker's price is dealt simultaneously by two or more IDBs, what must the price maker do?

- a. Choose which IDB to honour his quoted amount.
- b. Honour, subject to limit, his quoted amount, split equally with each IDB.
- c. Honour, subject to limit, his quoted amount, with each IDB.
- d. Honour, subject to limit, the minimum dealing amount with each IDB.

27. [Source reference | Combination choice] [FMRP §5.9] What types of transactions are restricted under MAS regulations on lending Singapore dollars to non-resident financial institutions?

- (a) A foreign bank buys SGD 10 million from its European head office in the first leg of a EUR/SGD swap.
- (b) A foreign bank sells SGD 10 million to its European head office in the first leg of a EUR/SGD swap.
- (c) A foreign bank lends SGD 6 million to a finance company licensed in Singapore.
- (d) A foreign bank lends SGD 6 million to its head office in Europe.

Choose one:

- A. (a) and (d)
- B. (b) and (d)
- C. (a) and (c)
- D. (b) and (c)

28. [Source reference | Single choice] [FMRP §5.1.6] Which of the following is TRUE about stop-loss orders?

- a. There is no guarantee of fixed-price execution to the counterparty.
- b. The trade should be immediately concluded at the highest market price.
- c. The trade should be immediately concluded at the lowest market price.
- d. The trade will be executed at a fixed price.

29. [Source reference | Single choice] [FMRP §5.3.6] What is the appropriate practice for trade cancellations?

- a. Trades can be cancelled before the settlement date.
- b. Trades must always be cancelled if the price is not representative of the prevailing market price.
- c. Trades are subject to cancellation only where both parties agree to the cancellation.
- d. Trades with minor errors in notional value should always be cancelled.

30. [Source reference | Single choice] [FMRP §5.4.1] What are the market trading hours for foreign-exchange transactions?

- a. 0500h Sydney time on Monday to 1700h New York time on Friday.
- b. 0900h to 1700h daily.
- c. 0900h to 1700h from Monday to Friday.
- d. 0900h Sydney time on Monday to 1700h New York time on Friday.

31. [Source reference | Combination choice] [FMRP §5.4.5] Which should be observed when trading FX swaps?

- (a) The forward rate of the far leg should be determined on the value date of the near leg.
- (b) The near leg must always be value spot.
- (c) The price maker has the right to set the spot rate in an FX swap.
- (d) The setting of the spot rate should be done immediately after a price has been hit and before clearing the counterparty's name.

Choose one:

- A. (a) and (d)

- B. (c) and (d)
- C. (a) and (c)
- D. (b) and (c)

32. [Source reference | Single choice] [FMRP §5.4.6] What should Jane do before transacting an off-market-rate FX trade with a corporate customer?

- a. Obtain the express approval of her own senior management.
- b. Obtain the express approval of the customer's senior management.
- c. Obtain the express approval of MAS.
- d. Obtain the express approval of SFEMC.

33. [Source reference | Single choice] [FMRP §5.1.2] A Market Participant lacks sufficient limits for a counterparty's full amount but is trying to raise limits. What should it do?

- a. Ask the IDB to commit the trade with the counterparty.
- b. Execute the trade and obtain credit approval later.
- c. Indicate the minimum amount required that can be done.
- d. Inform the IDB that it does not have sufficient limits.

34. [Source reference | Single choice] [FMRP §5.2.4] What should a Market Participant do before entering into a trade as principal with a customer in securities traded on an exchange?

- a. Indicate the types of securities to be dealt with.
- b. Instruct the customer to engage an agent.
- c. Notify the customer that it acts as counterparty to the customer.
- d. State the name of the exchange that it will use.

35. [Source reference | Single choice] [FMRP §5.8.1] Which statement concerning conduct of business in Singapore Government Securities is CORRECT?

- a. A dealer must send a confirmation note not later than the next business day.
- b. A dealer must send a confirmation note on trade day via MEPS+.
- c. A dealer must send a confirmation note on trade date via secured media.
- d. A dealer must send a confirmation note on trade day via SWIFT.

36. [Source reference | Single choice] [FMRP §5.6.1] To avoid misunderstanding while executing money-market transactions, what should Market Participants do?

- a. Apply the standard value date, tenor and marketable amount when quoting.
- b. State the precise settlement amount clearly when quoting.
- c. State the settlement dates clearly when quoting.
- d. State the trade date clearly when quoting.

37. [Source reference | Single choice] [FMRP §5.6.2] Which statement about delta hedges in interest-rate option transactions is TRUE?

- a. Delta hedges apply only to FX options.
- b. A simultaneous delta hedge is assumed.
- c. A simultaneous delta hedge is not assumed.
- d. There is no standard convention; delta hedges should be explicitly discussed.

Chapter 6 - Confirmation and Settlement

38. [Source reference | Combination choice] [FMRP §6.2.3] What are purposes of generating trade confirmations?

- (a) Advise the counterparty of the full details of the trade executed.
- (b) Detect incorrect economic details of the trade.
- (c) Minimise operational risk.

- (d) Obtain senior-management approval for the trade executed.

Choose one:

- A. (a), (b) and (c)
- B. (a) and (d)
- C. (b) and (d)
- D. (a), (c) and (d)

39. [Source reference | Single choice] [FMRP §6.3.3] Which statement relating to market practices on settlement is CORRECT?

- a. The beneficiary must always be the counterparty or one of its branches.
- b. The beneficiary must only be requested at the time of payment.
- c. Third-party payments can be made if instructed by the counterparty with a valid reason and documentation.
- d. Third-party payments must be reported to MAS whenever made.

40. [Source reference | Single choice] [FMRP §6.3.2] What is TRUE about the rights of the non-defaulting party under an ISDA Master Agreement?

- a. It may apply margin received to reduce the outstanding amount.
- b. It may close out and net all transactions with all counterparties.
- c. It may close out and net transactions with the defaulting counterparty covered by the Master Agreement.
- d. It may demand payment to reduce the outstanding amount.

41. [Source reference | Combination choice] [FMRP §6.2.8] What are the core documents that make up the ISDA Master Agreement?

- (a) Credit Support Annex.
- (b) Master Agreement.
- (c) Schedule.
- (d) Trade confirmation template.

Choose one:

- A. (b) and (c)
- B. (a) and (d)
- C. (a), (b) and (d)
- D. (b), (c) and (d)

Chapter 7 - Handling Market Disruptions

42. [Source reference | Combination choice] [FMRP §7.3] What are possible actions SFEMC may take to manage a market disruption?

- (a) Convene a meeting of members to discuss issues.
- (b) Discuss proposals with regulators and relevant Market Participants.
- (c) Issue statements to get Market Participants to follow announced measures and codes of conduct.
- (d) Make clear recommendations on procedures to determine the fixing rate.

Choose one:

- A. (a) and (b)
- B. (c) and (d)
- C. (a), (b) and (c)
- D. (a), (b), (c) and (d)

43. [Source reference | Single choice] [FMRP §7.4] What is the most important action that Market Participants should take during market disruptions?

- a. Maintain effective communication with counterparties, settlement agents, customers and MAS.
- b. Maintain non-stop communication with counterparties, customers and MAS.

- c. Record all communications with counterparties and report to MAS.
- d. Use multimedia to communicate effectively with counterparties, customers and MAS.

44. [Source reference | Single choice] [FMRP §7.6.3] Which action should be undertaken during a market disruption to ensure proper settlement of SGD trades?

- a. Follow settlement instructions issued by MAS.
- b. Follow guidelines given by SFEMC.
- c. Follow the agreed settlement instruction stated in the trade confirmation.
- d. Follow recommendations made by SFEMC and MAS.

Chapter 8 - Benchmark Rate Setting

45. [Source reference | Combination choice] [FMRP §8.2] Which parties are involved in the benchmark rate-setting process?

- (a) Benchmark Administrator.
- (b) Benchmark Submitter.
- (c) The Association of Banks in Singapore (ABS).
- (d) The Monetary Authority of Singapore (MAS).

Choose one:

- A. (a) and (b)
- B. (c) and (d)
- C. (a) and (c)
- D. (b) and (c)

46. [Source reference | Single choice] [FMRP §8.3.2] With regard to customer fixing orders in relation to Traded Benchmarks, which action is acceptable?

- a. Buying a larger amount than the customer's interest to inflate the price against the customer.
- b. Collecting all customer interest and executing the net amount.
- c. Informing other Market Participants of a specific customer dealing at the fixing rate.
- d. Showing large interest during the fixing window to manipulate the fixing price.

47. [Source reference | Single choice] [FMRP §8.4.2] To avoid conflicts of interest, what action should be taken by a dealer responsible for benchmark contributions and opinions on benchmarks?

- a. Provide opinions on benchmarks for which he is responsible as long as they are not published.
- b. Declare the conflict and express opinions only after benchmark publication.
- c. Stop providing opinions on benchmarks.
- d. Ask a colleague to submit the benchmark contribution on his behalf.

48. [Source reference | Single choice] [FMRP §8.5.5] Which statement describes best practice for a dealer responsible for determining benchmark contributions?

- a. The dealer should be seated in a separate location clearly segregated from the trading room.
- b. The dealer should retain submission documentation for 90 days.
- c. The dealer should not attend any briefing given by the Market Participant's economist.
- d. The dealer should not provide contribution information to any party not responsible for the contribution process.

Original questions

Chapter 1 - Introduction

49. [Original | Single choice] [FMRP §1.1] Which statement best describes the purpose of the FMRP guide?

- a. It replaces MAS notices whenever a market convention is clearer.

- b. It is a contract that automatically authorises every dealer.
- c. It is limited to equity-market trading.
- d. It is a study aid that must be read with current law, rules and procedures.

50. [Original | Single choice] [FMRP §1.2.1] A market participant is reviewing the economic function of financial markets. Which conclusion is correct?

- a. They exist only to set tax rates for financial institutions.
- b. They prevent participants from hedging or raising capital.
- c. They allocate funding and liquidity and transfer financial risk between participants.
- d. They eliminate all counterparty risk by guaranteeing every transaction.

51. [Original | Single choice] [FMRP §1.2.1] For information in a wholesale market, which practice should be followed?

- a. Information is irrelevant once a trade has settled.
- b. Quotes, orders and completed transactions contribute to price discovery, subject to confidentiality and conduct rules.
- c. Every customer order must be published with the customer's name.
- d. Only government announcements can influence a market price.

52. [Original | Combination choice] [FMRP §1.2.2] Which option is most accurate about the product scope normally associated with the Blue Book?

- (a) NDFs are covered wholesale products.
- (b) Money-market instruments are covered wholesale products.
- (c) OTC derivatives are covered wholesale products.
- (d) Every listed equity security is covered by the Blue Book.

Choose one:

- A. (a), (b) and (c)
- B. (a) and (d)
- C. (b) and (c)
- D. (b) and (d)

53. [Original | Single choice] [FMRP §1.2.2] A dealer is assessing an over-the-counter market. What should the dealer conclude?

- a. It means the MAS guarantees the final price.
- b. It allows parties to ignore confirmations and settlement.
- c. It can be used only for listed equities.
- d. Trading is negotiated directly or through intermediaries rather than on a single central exchange order book.

54. [Original | Single choice] [FMRP §1.3.1] In an examination scenario about the role of a bank in financial markets, which answer is best?

- a. A bank can never act as a market maker.
- b. A bank's only role is to insure policyholders.
- c. A bank may provide funding, payments, market making, custody or risk-management services within its permissions.
- d. A bank is automatically permitted to conduct every regulated activity.

55. [Original | Single choice] [FMRP §1.3.1] Which statement best describes why a bank's status must be checked before dealing?

- a. Banking status removes the need for credit limits.
- b. Different licences, exemptions and business lines create different permissions and restrictions.
- c. All banks have identical permissions in every jurisdiction.
- d. A bank's name alone determines the trade's settlement currency.

56. [Original | Single choice] [FMRP §1.3.2] A market participant is reviewing the core function of an IDB. Which conclusion is correct?

- a. It intermediates between market participants and relays prices or orders while applying market conventions.
- b. It takes a proprietary position in every order it receives.
- c. It guarantees the creditworthiness of both principals without controls.
- d. It replaces the principal's need for settlement instructions.

57. [Original | Single choice] [FMRP §1.3.2] For anonymity in IDB dealing, which practice should be followed?

- a. Names must always be disclosed before any price is quoted.
- b. Names may be sold to other dealers after a quote.
- c. Anonymity means the trade never needs confirmation.
- d. Names should be disclosed at the appropriate point under convention and credit controls, not indiscriminately at first contact.

58. [Original | Single choice] [FMRP §1.3.3] Which option is most accurate about a finance company's institutional role?

- a. It can issue government securities for MAS.
- b. It is legally identical to an insurer.
- c. It provides financing but is not thereby a bank with every deposit-taking or banking permission.
- d. It is automatically a central bank.

59. [Original | Single choice] [FMRP §1.3.4] A dealer is assessing an insurer's principal business. What should the dealer conclude?

- a. It is exempt from investment and prudential controls.
- b. It pools policyholder risks and invests premiums subject to insurance regulation.
- c. It takes retail deposits as its defining function.
- d. It acts only as an IDB.

60. [Original | Single choice] [FMRP §1.3.5] In an examination scenario about a capital-markets intermediary, which answer is best?

- a. It must operate within its licensed or exempt regulated activities and associated conduct conditions.
- b. It may perform any financial activity without authorisation.
- c. It needs no customer or risk controls if it is wholesale.
- d. It can disregard contractual settlement terms.

61. [Original | Single choice] [FMRP §1.3.6] Which statement best describes the appropriate basis for financial advice?

- a. Advice is unrestricted if the customer is sophisticated.
- b. Advice is the same as anonymous broking.
- c. Advice never needs to disclose a conflict.
- d. Advice should be within the adviser's authorised activity and should address suitability and conflicts.

62. [Original | Single choice] [FMRP §1.3.7] A market participant is reviewing the role of an insurance broker. Which conclusion is correct?

- a. It is an MAS benchmark calculation agent.
- b. It is a securities exchange.
- c. It intermediates between insurance customers and insurers rather than acting as the insurer itself.
- d. It automatically underwrites all customer losses.

63. [Original | Single choice] [FMRP §1.3.8] For a trust company's control priority, which practice should be followed?

- a. It has no need for records because a trust is informal.

- b. It should segregate and administer property according to the trust authority and beneficiary obligations.
- c. It may use trust property for any employee expense.
- d. It can treat trust assets as the firm's unrestricted capital.

64. [Original | Single choice] [FMRP §1.3.9] Which option is most accurate about a money-changing or remittance business?

- a. It provides currency conversion or transfer services subject to its own permissions and AML controls.
- b. It has the full powers of a commercial bank by definition.
- c. It can bypass customer identification for small transfers.
- d. It is prohibited from maintaining any transaction record.

65. [Original | Single choice] [FMRP §1.4.1] A dealer is assessing MAS's role. What should the dealer conclude?

- a. MAS is a professional association with no supervisory authority.
- b. MAS only publishes voluntary dealer etiquette.
- c. MAS is the clearing account of every participant.
- d. MAS combines central-bank and financial-regulatory functions relevant to monetary and financial stability.

66. [Original | Single choice] [FMRP §1.4.1] In an examination scenario about the relationship between law and MAS material, which answer is best?

- a. A market convention cancels a binding notice.
- b. Internal policy can remove a statutory obligation.
- c. MAS notices and guidelines operate within the applicable statutory and regulatory framework and must be read with current law.
- d. A guideline automatically overrides an Act.

67. [Original | Single choice] [FMRP §1.4.2] Which statement best describes banking-licence analysis?

- a. Licence category matters only after settlement.
- b. A dealer should verify the actual licence category and permissions of the institution and transaction.
- c. The words 'bank' and 'merchant bank' prove identical permissions.
- d. A foreign bank can trade every product without local analysis.

68. [Original | Single choice] [FMRP §1.4.3] A market participant is reviewing a regulated-activity permission. Which conclusion is correct?

- a. The institution and person must be authorised or exempt for the particular service and product being provided.
- b. Any financial institution is authorised for all regulated activities.
- c. A customer's request creates the licence automatically.
- d. An internal email is equivalent to a statutory licence.

69. [Original | Single choice] [FMRP §1.4.4] For a CMS licence, which practice should be followed?

- a. It authorises every activity under every Singapore law.
- b. It applies only to personal bank accounts.
- c. It removes all business-conduct requirements.
- d. It authorises specified capital-markets services subject to conditions, rather than granting a general financial-services passport.

70. [Original | Single choice] [FMRP §1.4.4] Which option is most accurate about merchant-bank treatment under the SFA?

- a. Merchant banks may delegate legal responsibility to an IDB.
- b. Merchant banks need approval only for office furniture.
- c. A merchant bank's status does not by itself allow it to ignore SFA conduct requirements or licensing conditions.

- d. Merchant banks are outside the SFA in all circumstances.

71. [Original | Single choice] [FMRP §1.5.1] A dealer is assessing SFEMC's market role. What should the dealer conclude?

- a. It guarantees the P&L of every dealer.
- b. It develops wholesale market guidance and can coordinate market responses to market-practice issues and disruptions.
- c. It is the court that enforces every private trade.
- d. It grants all CMS licences.

72. [Original | Single choice] [FMRP §1.5.1] In an examination scenario about an SFEMC recommendation, which answer is best?

- a. It informs market practice but does not authorise conduct prohibited by law.
- b. It overrides criminal law if adopted by two banks.
- c. It is a substitute for customer consent.
- d. It automatically changes every contract.

73. [Original | Single choice] [FMRP §1.5.2] Which statement best describes the function of a market code?

- a. It permits conduct that legislation prohibits.
- b. It replaces the need for risk limits.
- c. It is relevant only to retail advertising.
- d. It translates integrity and best-practice expectations into shared dealing and control standards.

74. [Original | Single choice] [FMRP §1.5.3] A market participant is reviewing ACI's relevance. Which conclusion is correct?

- a. ACI is a settlement platform for SGS.
- b. ACI is an AML reporting portal.
- c. ACI supports professional standards and education for financial-market and treasury practitioners.
- d. ACI is Singapore's central bank.

75. [Original | Single choice] [FMRP §1.5.4] For ABS's role, which practice should be followed?

- a. ABS replaces the benchmark administrator.
- b. ABS represents banks and publishes industry guidance, including rate-setting benchmark material.
- c. ABS issues criminal convictions.
- d. ABS grants representative licences directly.

76. [Original | Single choice] [FMRP §1.5.5] Which option is most accurate about IBF's role?

- a. IBF supports competency, accreditation and continuing professional development for the banking sector.
- b. IBF approves every customer trade.
- c. IBF is the only source of Singapore statutes.
- d. IBF guarantees a representative's financial soundness.

77. [Original | Single choice] [FMRP §1.5.5] A dealer is assessing the Appendix B reading list. What should the dealer conclude?

- a. It consists only of newspaper articles.
- b. It excludes all Singapore statutes.
- c. It is an official scoring document.
- d. It includes legislation, MAS material, SFEMC guidance, the FX Global Code and ABS benchmark material.

78. [Original | Single choice] [FMRP §1.4.4] In an examination scenario about a licence-condition check, which answer is best?

- a. A market code grants the missing permission.
- b. A customer can waive the licence condition.
- c. Before dealing, confirm the CMS licence or exemption covers the relevant regulated activity, product and client arrangement.
- d. A licence for one activity covers every other activity.

Chapter 2 - Ethics, Behavioural Standards and Professional Conduct

79. [Original | Single choice] [FMRP §2.1] Which statement best describes ethical conduct in a market role?

- a. Ethics permits hidden conflicts if the transaction settles.
- b. Ethics requires fair dealing, protection of information, conflict management and escalation, not just technical trade accuracy.
- c. Ethics applies only when a trade loses money.
- d. Ethics is satisfied whenever a customer signs a form.

80. [Original | Single choice] [FMRP §2.2.1] A market participant is reviewing the honesty and integrity assessment. Which conclusion is correct?

- a. It considers relevant misconduct, candour, seriousness, recency, repetition and remediation.
- b. It considers only the person's current salary.
- c. It ignores regulatory breaches if no loss occurred.
- d. It is determined solely by social-media popularity.

81. [Original | Single choice] [FMRP §2.2.1] For a misleading regulatory disclosure, which practice should be followed?

- a. It is irrelevant if the person passed an examination.
- b. It becomes acceptable once a colleague signs it.
- c. It is a purely private matter with no compliance impact.
- d. It can undermine fitness even if the person later performs trades competently.

82. [Original | Single choice] [FMRP §2.2.1] Which option is most accurate about a fit-and-proper review after past misconduct?

- a. The person should destroy older records.
- b. The person should let a customer decide whether it matters.
- c. The person should provide complete facts and evidence of remediation so the firm can assess relevance and risk.
- d. The person should conceal it unless asked the same question twice.

83. [Original | Single choice] [FMRP §2.2.2] A dealer is assessing competency and capability. What should the dealer conclude?

- a. A profitable trade proves capability permanently.
- b. A representative needs knowledge, skill, experience, supervision and resources for the activity.
- c. An exam pass permits dealing in every product.
- d. Seniority alone proves competence.

84. [Original | Single choice] [FMRP §2.2.3] In an examination scenario about financial soundness as a conduct factor, which answer is best?

- a. Financial pressure can create conflicts or impaired judgement and may need disclosure and assessment.
- b. Personal financial pressure is never relevant to conduct.
- c. Only the firm's balance sheet matters.
- d. A representative may hide insolvency to preserve a licence.

85. [Original | Single choice] [FMRP §2.2.4] Which statement best describes a change in regulated activity?

- a. The representative may start and notify later.
- b. A customer can authorise the new activity.
- c. An IDB can grant the activity permission.
- d. The representative should complete the required notification, approval, training or licensing step before beginning the activity.

86. [Original | Combination choice] [FMRP §2.2] A market participant is reviewing fit-and-proper factors. Which conclusion is correct?

- (a) Honesty and integrity are relevant.
- (b) Competency and capability are relevant.
- (c) Financial soundness is relevant.
- (d) A person's favourite market colour is a formal fit-and-proper criterion.

Choose one:

- A. (a), (b) and (d)
- B. (a), (c) and (d)
- C. (a), (b) and (c)
- D. (c) and (d)

87. [Original | Single choice] [FMRP §2.3.1] For acting for one principal, which practice should be followed?

- a. A customer order automatically authorises a second mandate.
- b. A representative must not secretly serve competing principals or misuse one principal's confidential information.
- c. A representative may serve any principal if trades are profitable.
- d. Confidential information can be shared after the trade.

88. [Original | Single choice] [FMRP §2.3.1] Which option is most accurate about a potential dual-principal arrangement?

- a. It requires explicit authorisation and controls, or the representative should decline or recuse.
- b. It can be handled by deleting the first principal's records.
- c. It requires no disclosure if both principals are banks.
- d. It is permitted whenever an IDB is involved.

89. [Original | Single choice] [FMRP §2.3.2] A dealer is assessing a close personal relationship with a customer. What should the dealer conclude?

- a. It should be concealed to avoid embarrassment.
- b. It permits preferential pricing automatically.
- c. It makes the customer a connected person for every law without analysis.
- d. It should be disclosed and managed through recusal, reassignment or another documented control.

90. [Original | Single choice] [FMRP §2.3.3] In an examination scenario about acceptable hospitality, which answer is best?

- a. It is acceptable whenever it follows a profitable trade.
- b. It is prohibited only when paid in cash.
- c. It is reasonable, transparent, policy-compliant and not intended to influence business judgement.
- d. It is acceptable if no one records it.

91. [Original | Single choice] [FMRP §2.3.3] Which statement best describes a secret expensive gift from a counterparty?

- a. It can be exchanged for a better quote.

- b. It should be declined or escalated because it can be an inducement or corruption risk.
- c. It should be accepted if the customer is sophisticated.
- d. It should be hidden in the representative's personal account.

92. [Original | Single choice] [FMRP §2.3.4] A market participant is reviewing personal dealing controls. Which conclusion is correct?

- a. They protect customer orders and require compliance with pre-clearance, disclosure and restricted-list procedures where applicable.
- b. They allow front running if the amount is small.
- c. They are unnecessary for wholesale customers.
- d. They apply only to trades made during office hours.

93. [Original | Single choice] [FMRP §2.3.4] For a personal trade in a security on a customer order, which practice should be followed?

- a. The representative should trade first and disclose later.
- b. The representative may trade if the market is liquid.
- c. The representative can ask an unrelated friend to trade instead.
- d. The representative should not trade ahead or create a conflict and should follow the firm's restriction and escalation process.

94. [Original | Single choice] [FMRP §2.3.5] Which option is most accurate about disclosure of an interest?

- a. It should be made only after the customer complains.
- b. It is required only for gifts above a fixed amount in every case.
- c. It gives the firm information needed to assess, control and if necessary disclose or avoid the conflict.
- d. It always cures the conflict without further action.

95. [Original | Single choice] [FMRP §2.3.6] A dealer is assessing why gambling can be a conduct concern. What should the dealer conclude?

- a. It is unrelated to fit-and-proper assessment.
- b. It can create financial pressure or impaired judgement and may need restriction or escalation.
- c. It is always a criminal offence for every employee.
- d. It improves market risk decisions.

96. [Original | Single choice] [FMRP §2.3.7] In an examination scenario about an ethical culture, which answer is best?

- a. It is supported by management tone, training, supervision, fair incentives, safe escalation and consequences for misconduct.
- b. It is created by a single annual email.
- c. It depends only on the compliance department.
- d. It means targets are more important than controls.

97. [Original | Single choice] [FMRP §2.4] Which statement best describes professional knowledge?

- a. It means knowing only how to enter an order.
- b. It expires after the first examination pass.
- c. It is needed only by back office staff.
- d. It includes products, conventions, regulation, codes, systems, risk controls and limits of authority.

98. [Original | Single choice] [FMRP §2.5] A market participant is reviewing fair customer dealing. Which conclusion is correct?

- a. Fair dealing means guaranteeing a profit.
- b. A signed mandate removes the need for accurate communication.

- c. The firm should communicate clearly, execute within mandate, disclose capacity and safeguard customer money and assets.
- d. The firm may prioritise its own book without disclosure.

99. [Original | Single choice] [FMRP §2.5.1] For a useful risk disclosure, which practice should be followed?

- a. It is needed only after the first loss.
- b. It is provided before the activity, is understandable and accurately describes material risks.
- c. It is effective if hidden in a long document.
- d. It can promise that leverage cannot cause losses.

100. [Original | Single choice] [FMRP §2.5.2] Which option is most accurate about a managed-account disclosure?

- a. It should explain mandate, discretion, fees, risks, valuation and reporting arrangements.
- b. It allows the manager to trade beyond the mandate.
- c. It replaces all customer reporting.
- d. It makes conflicts irrelevant.

101. [Original | Single choice] [FMRP §2.5.3] A dealer is assessing dealing as principal. What should the dealer conclude?

- a. The Market Participant is automatically an agent.
- b. The customer bears no counterparty risk.
- c. Principal capacity need not be recorded.
- d. The Market Participant is the customer's counterparty and should disclose that capacity before the transaction.

102. [Original | Single choice] [FMRP §2.5.4] In an examination scenario about customer money, which answer is best?

- a. It belongs to the dealer once received.
- b. It never requires records or reconciliation.
- c. It must be handled only as permitted and must not be diverted for the firm's convenience or another customer's benefit.
- d. It may be used with head-of-trading approval.

103. [Original | Single choice] [FMRP §2.6] Which statement best describes a suspected misconduct report?

- a. It is optional if the person is senior.
- b. It should be escalated through approved procedures and submitted to MAS where the applicable notice requires it.
- c. It should be deleted after an informal conversation.
- d. It should be disclosed to all customers immediately.

104. [Original | Combination choice] [FMRP §2.5] A market participant is reviewing customer-dealing safeguards. Which conclusion is correct?

- (a) Give required risk disclosures.
- (b) Disclose principal capacity where relevant.
- (c) Protect customer money and assets.
- (d) Use customer orders to improve the representative's personal position.

Choose one:

- A. (a), (b) and (c)
- B. (b) and (d)
- C. (c) and (d)

- D. (a), (b) and (d)

105. [Original | Single choice] [FMRP §2.3.7] For a sound remuneration design, which practice should be followed?

- a. It should pay only on gross revenue regardless of conduct.
- b. It should remove all performance measures.
- c. It should reward employees who avoid documenting trades.
- d. It should avoid rewarding short-term volume in a way that encourages misconduct or hidden risk.

106. [Original | Single choice] [FMRP §2.2.4] Which option is most accurate about reporting a change of particulars?

- a. It can be delayed until annual leave.
- b. It is unnecessary if the representative changes teams internally.
- c. It should be made through the prescribed firm or regulatory process and supported by accurate information.
- d. It is needed only when a customer requests it.

107. [Original | Single choice] [FMRP §2.3.2] A dealer is assessing a family relationship involving a trade. What should the dealer conclude?

- a. The relationship is irrelevant if the trade is verbal.
- b. The relationship can create an actual or perceived conflict even if the trade price is fair.
- c. A fair price automatically removes every conflict.
- d. Family relationships matter only for retail sales.

108. [Original | Single choice] [FMRP §2.3.5] In an examination scenario about a conflict disclosure, which answer is best?

- a. Disclosure should be timely, clear and accompanied by a control or decision about whether to proceed.
- b. Disclosure should be vague so the customer cannot object.
- c. Disclosure is required only after completion.
- d. Disclosure allows the representative to ignore the conflict.

109. [Original | Single choice] [FMRP §2.4] Which statement best describes continuing professional development?

- a. It is unnecessary after licensing.
- b. It is relevant only to people changing employers.
- c. It substitutes for supervision and risk limits.
- d. It keeps knowledge current as products, technology, conventions and regulation change.

110. [Original | Single choice] [FMRP §2.6] A market participant is reviewing handling evidence of misconduct. Which conclusion is correct?

- a. Confront the subject before preserving evidence.
- b. Ask the customer to conduct the investigation.
- c. Preserve records, escalate promptly and avoid alerting the subject in a way that compromises the investigation.
- d. Delete informal messages to protect reputation.

Chapter 3 - Confidentiality and Information Sharing

111. [Original | Single choice] [FMRP §3.1] For the purpose of confidentiality, which practice should be followed?

- a. It applies only to written information.
- b. It protects customers, counterparties, firms and the integrity of price formation.
- c. It prevents any internal risk function from seeing a trade.
- d. It means all market information is secret forever.

112. [Original | Single choice] [FMRP §3.1] Which option is most accurate about information that may identify a customer?

- a. A combination of amount, timing, currency, direction and context can identify a customer even without a name.
- b. Only a legal name can identify a customer.
- c. An order is public once a dealer hears it.
- d. A small order cannot be confidential.

113. [Original | Single choice] [FMRP §3.2.1] A dealer is assessing confidential market information. What should the dealer conclude?

- a. All published central-bank data is confidential.
- b. General market direction can never be shared.
- c. Only information marked secret is confidential.
- d. Customer names, orders, positions, strategies and client-specific pricing can be confidential.

114. [Original | Single choice] [FMRP §3.2.1] In an examination scenario about a customer spread matrix, which answer is best?

- a. It can be sent to a competitor for comparison.
- b. It is safe to disclose if the customer is a bank.
- c. It is confidential client or firm information and should not be shared without authority.
- d. It is public because it contains prices.

115. [Original | Single choice] [FMRP §3.2.1] Which statement best describes general market colour?

- a. It permits a dealer to invent flow.
- b. It can describe broad liquidity, direction or volatility without exposing a customer or traceable order.
- c. It must include a customer's name to be useful.
- d. It must state the exact amount and time of every trade.

116. [Original | Single choice] [FMRP §3.2.2] A market participant is reviewing need-to-know access. Which conclusion is correct?

- a. Access should be limited to staff whose role requires the information and should be monitored and reviewed.
- b. Every employee should have full access for convenience.
- c. Access control is needed only for paper records.
- d. A senior title eliminates the need for review.

117. [Original | Single choice] [FMRP §3.2.2] For an information barrier, which practice should be followed?

- a. It requires all departments to stop communicating.
- b. It is a marketing tool for customer acquisition.
- c. It allows front office to bypass compliance.
- d. It separates sensitive information or activities so that unauthorised use and disclosure are reduced.

118. [Original | Single choice] [FMRP §3.2.2] Which option is most accurate about electronic protection of confidential data?

- a. Personal messaging is preferred for sensitive instructions.
- b. A printed copy is automatically secure.
- c. Role-based permissions, encryption, logging and controlled devices are appropriate safeguards.
- d. A shared password is the strongest control.

119. [Original | Single choice] [FMRP §3.3.1] A dealer is assessing a lawful disclosure. What should the dealer conclude?

- a. Disclosure is always required if information is interesting.

- b. Disclosure may be made when required by law, regulator, court or a permitted legitimate business purpose.
- c. Disclosure is allowed whenever another dealer asks.
- d. Disclosure is allowed whenever it helps a sale.

120. [Original | Single choice] [FMRP §3.3.1] In an examination scenario about a request from another market participant, which answer is best?

- a. It should be checked against the firm's authority and confidentiality rules before any information is shared.
- b. It is automatic authority to identify a customer.
- c. It overrides the Banking Act.
- d. It permits the exact order to be broadcast.

121. [Original | Single choice] [FMRP §3.3.2] Which statement best describes the first step before sharing sensitive information?

- a. Send the information first and verify later.
- b. Ask the recipient to decide whether disclosure is lawful.
- c. Remove only the customer's name and disclose everything else.
- d. Confirm the recipient, authority, purpose, scope and approved communication channel.

122. [Original | Single choice] [FMRP §3.3.2] A market participant is reviewing uncertainty about a disclosure request. Which conclusion is correct?

- a. Forward the request to every dealer.
- b. Delete the request so there is no record.
- c. Pause and consult compliance or legal rather than guessing or giving a misleading response.
- d. Invent a false answer to protect the firm.

123. [Original | Single choice] [FMRP §3.4.1] For clear and non-misleading communication, which practice should be followed?

- a. A dealer may mislead to avoid every disclosure.
- b. Facts, assumptions, uncertainty and opinions should be distinguished and material qualifications should not be hidden.
- c. Opinions should be stated as guaranteed facts.
- d. A partial fill should be described as complete.

124. [Original | Single choice] [FMRP §3.4.1] Which option is most accurate about communicating an incomplete customer order?

- a. The dealer should accurately explain the status without revealing protected customer identity or strategy.
- b. The dealer should invent a different customer.
- c. The dealer should disclose the customer's name to prove the order.
- d. The dealer should say the order is complete when it is not.

125. [Original | Single choice] [FMRP §3.4.2] A dealer is assessing appropriate market colour. What should the dealer conclude?

- a. A named customer's exact sale is always appropriate colour.
- b. A precise order and timestamp should be shared freely.
- c. Market colour permits false statements about flow.
- d. A comment about deteriorating liquidity or broad demand can be appropriate if it does not identify a specific customer or order.

126. [Original | Single choice] [FMRP §3.4.2] In an examination scenario about an inappropriate market-colour statement, which answer is best?

- a. Describing volatility without a customer is prohibited.
- b. Discussing general market depth is prohibited in all cases.
- c. Naming the customer behind a specific order or revealing its exact size and instrument is inappropriate.

- d. Describing a broad rally is always inappropriate.

127. [Original | Single choice] [FMRP §3.4.3] Which statement best describes approved communications?

- a. Use any platform if the message is later remembered.
- b. Use firm-approved recorded channels for dealing, instructions and material customer communications.
- c. Use personal messaging because it is faster.
- d. Use an unrecorded private phone for all customer orders.

128. [Original | Single choice] [FMRP §3.4.3] A market participant is reviewing why unapproved channels are risky. Which conclusion is correct?

- a. They may prevent surveillance, reliable recordkeeping, access control and reconstruction of the trade.
- b. They always improve execution price.
- c. They automatically create legal privilege.
- d. They eliminate the need for confirmation.

129. [Original | Single choice] [FMRP §3.5] For confidentiality training, which practice should be followed?

- a. It is needed only once at hiring.
- b. It should be limited to the legal department.
- c. It can be replaced by a generic poster.
- d. It should use practical scenarios and be refreshed and evidenced for staff with sensitive access.

130. [Original | Combination choice] [FMRP §3.2] Which option is most accurate about confidentiality controls?

- (a) Classify sensitive information.
- (b) Limit access by role.
- (c) Maintain appropriate information barriers.
- (d) Give every employee unrestricted access for efficiency.

Choose one:

- A. (a), (c) and (d)
- B. (b), (c) and (d)
- C. (a), (b) and (c)
- D. (a), (b) and (d)

131. [Original | Combination choice] [FMRP §3.3] A dealer is assessing permitted disclosure principles. What should the dealer conclude?

- (a) A disclosure may be required by law.
- (b) A disclosure may support an authorised investigation.
- (c) A disclosure should be limited to what is necessary.
- (d) Another dealer's curiosity is sufficient authority.

Choose one:

- A. (a), (b), (c) and (d)
- B. (a), (b) and (c)
- C. (a), (c) and (d)
- D. (b), (c) and (d)

132. [Original | Single choice] [FMRP §3.4] In an examination scenario about a complete communication record, which answer is best?

- a. It should show what was said, by whom, when, through which channel and under what authority.
- b. It should record only the final price.

- c. It should exclude rejected instructions.
- d. It is unnecessary if the trade settled.

133. [Original | Single choice] [FMRP §3.2.2] Which statement best describes removing access after a role change?

- a. Access should remain permanently for convenience.
- b. The employee should keep access as a reward.
- c. Only the customer can remove access.
- d. Access should be reviewed and removed or changed when the person no longer needs the information.

134. [Original | Single choice] [FMRP §3.3.2] A market participant is reviewing minimum-necessary disclosure. Which conclusion is correct?

- a. Share the data with all counterparties.
- b. Share a guess when facts are incomplete.
- c. Share only the information required for the permitted purpose with the authorised recipient.
- d. Share the full customer file to avoid follow-up.

135. [Original | Single choice] [FMRP §3.4.1] For expressing an opinion, which practice should be followed?

- a. The representative should attribute it to a customer without permission.
- b. The representative should identify it as an opinion rather than present it as verified fact.
- c. The representative should label it as a guarantee.
- d. The representative should omit the basis to sound confident.

136. [Original | Single choice] [FMRP §3.5] Which option is most accurate about testing the confidentiality programme?

- a. Testing should include access reviews, communication surveillance, scenario exercises and remediation of exceptions.
- b. Testing should focus only on whether a policy exists.
- c. Testing should be performed by the person being tested with no record.
- d. Testing is unnecessary for electronic systems.

137. [Original | Single choice] [FMRP §3.2] A dealer is assessing anonymity as a market principle. What should the dealer conclude?

- a. Anonymity means no one may ever know the counterparty.
- b. Anonymity permits a dealer to ignore settlement.
- c. Anonymity prevents a regulator from receiving information.
- d. Anonymity protects counterparties during price discovery but does not remove the need for authorised disclosure, credit controls or confirmation.

138. [Original | Single choice] [FMRP §3.4.2] In an examination scenario about using a participant name in market colour, which answer is best?

- a. A name is public once a salesperson hears it.
- b. A name can be shared if the amount is rounded.
- c. The name should not be used where it could identify a customer or reveal a protected order.
- d. A name is always safe if the order is profitable.

Chapter 4 - Governance, Risk Management and Compliance

139. [Original | Single choice] [FMRP §4.1] Which statement best describes governance accountability?

- a. Governance means the board approves every individual quote.
- b. The board and senior management should assign responsibility, authority, challenge and escalation across control functions.

- c. Governance is the sole responsibility of each dealer.
- d. Governance ends once a trade is booked.

140. [Original | Single choice] [FMRP §4.1] A market participant is reviewing an effective governance structure. Which conclusion is correct?

- a. It makes ownership of risks and control decisions clear and gives control functions access and independence.
- b. It hides risk ownership in informal conversations.
- c. It gives front office unrestricted control of all functions.
- d. It removes the need for escalation.

141. [Original | Single choice] [FMRP §4.2] For a conduct-sensitive remuneration structure, which practice should be followed?

- a. It should reward revenue regardless of how it was earned.
- b. It should pay only for the number of trades.
- c. It should penalise every employee who escalates a concern.
- d. It should balance performance with risk, customer outcomes and conduct and may use deferral, malus or clawback.

142. [Original | Single choice] [FMRP §4.2] Which option is most accurate about a risky sales incentive?

- a. It eliminates the need for supervision.
- b. It guarantees accurate valuations.
- c. A bonus based only on short-term volume can encourage hidden risk and misconduct and should be controlled.
- d. It is automatically safe in wholesale markets.

143. [Original | Single choice] [FMRP §4.3] A dealer is assessing a misconduct reporting process. What should the dealer conclude?

- a. It should close a report when a customer is satisfied.
- b. It should provide confidential channels, preserve evidence, investigate fairly and escalate material matters.
- c. It should require staff to resolve every issue privately.
- d. It should publish the reporter's identity to deter reports.

144. [Original | Single choice] [FMRP §4.3] In an examination scenario about non-retaliation, which answer is best?

- a. Staff should be able to report concerns in good faith without retaliation or pressure to withdraw them.
- b. Retaliation is acceptable if the report is inconvenient.
- c. Only senior staff need protection.
- d. A report should be ignored if it concerns a profitable trader.

145. [Original | Single choice] [FMRP §4.4] Which statement best describes segregation of duties?

- a. Segregation means front and back office can never communicate.
- b. Segregation is achieved by moving desks closer together.
- c. Segregation is unnecessary for electronic trades.
- d. Separate functions and controlled communication reduce the risk that one person can originate, process and conceal a trade.

146. [Original | Single choice] [FMRP §4.4] A market participant is reviewing front-office access to middle-office systems. Which conclusion is correct?

- a. All staff should share one account.
- b. Access rights do not affect fraud risk.
- c. It should be restricted to authorised functions and subject to independent controls.
- d. Front office should have administrator access for speed.

147. [Original | Combination choice] [FMRP §4.4] For segregation safeguards, which practice should be followed?

- (a) Use information barriers.
- (b) Restrict system permissions by role.
- (c) Allow independent control functions to challenge trades.
- (d) Give the dealer unrestricted access to processing records.

Choose one:

- A. (b) and (c)
- B. (a), (b) and (c)
- C. (a) and (c)
- D. (a) and (d)

148. [Original | Single choice] [FMRP §4.5] Which option is most accurate about the relationship between risk and compliance?

- a. Risk measures exposures while compliance interprets obligations, tests adherence and escalates breaches; both need independence and information.
- b. Compliance replaces all risk limits.
- c. Risk management is only a post-trade accounting task.
- d. Neither function needs front-office access.

149. [Original | Single choice] [FMRP §4.5] A dealer is assessing a risk-management framework. What should the dealer conclude?

- a. It consists only of a limit number.
- b. It applies only when markets are calm.
- c. It is a list of products with no controls.
- d. It links appetite, limits, measurement, monitoring, escalation, validation and remediation.

150. [Original | Single choice] [FMRP §4.6] In an examination scenario about a risk framework in stress, which answer is best?

- a. A stress test replaces all live monitoring.
- b. A market disruption permits limit breaches without records.
- c. It should address stressed conditions, liquidity, operational dependencies and contingency escalation, not only normal trading.
- d. Stress conditions are outside risk management.

151. [Original | Single choice] [FMRP §4.6.1] Which statement best describes approval of risk limits?

- a. Limits need no owner if the desk is profitable.
- b. Limits should be documented, approved by the appropriate authority, assigned and reviewed when the risk profile changes.
- c. A dealer may set a limit after exceeding it.
- d. An informal chat is always enough approval.

152. [Original | Single choice] [FMRP §4.6.1] A market participant is reviewing an urgent limit request. Which conclusion is correct?

- a. The participant should use the authorised approval route and wait for confirmation before trading beyond the current limit.
- b. The IDB can approve the limit on the firm's behalf.
- c. The dealer can trade and regularise later.
- d. A customer instruction overrides a credit limit.

153. [Original | Single choice] [FMRP §4.6.2] For risk measures, which practice should be followed?

- a. One measure captures every risk.

- b. Only accounting profit is a risk measure.
- c. Risk measures should be removed when markets are volatile.
- d. Notional, sensitivity, stop-loss, stress, liquidity, counterparty and concentration measures can complement one another.

154. [Original | Single choice] [FMRP §4.6.2] Which option is most accurate about technology in risk controls?

- a. Encryption reduces the need for access control.
- b. A manual spreadsheet is always more reliable than a controlled system.
- c. Systems should maintain capacity, protect data, control access and preserve reliable audit trails.
- d. All users should access all systems.

155. [Original | Single choice] [FMRP §4.6.3] A dealer is assessing risk monitoring. What should the dealer conclude?

- a. Monitoring should be performed only by the dealer who caused the exception.
- b. Monitoring compares exposures, limits, P&L, exceptions and stress results and escalates anomalies promptly.
- c. Monitoring is needed only at month end.
- d. A breach is harmless if the desk expects profit.

156. [Original | Single choice] [FMRP §4.6.3] In an examination scenario about a limit breach, which answer is best?

- a. It should be escalated, investigated, documented and resolved under the approved process.
- b. It should be hidden until the position is profitable.
- c. It should be deleted from the exception report.
- d. It should be ignored if caused by a senior dealer.

157. [Original | Combination choice] [FMRP §4.6.3] Which statement best describes effective risk monitoring?

- (a) Review exposures against limits.
- (b) Investigate exceptions.
- (c) Escalate material breaches promptly.
- (d) Treat repeated overrides as normal practice.

Choose one:

- A. (b), (c) and (d)
- B. (a), (b), (c) and (d)
- C. (a) and (b)
- D. (a), (b) and (c)

158. [Original | Single choice] [FMRP §4.6.4] A market participant is reviewing independent model validation. Which conclusion is correct?

- a. The trader who builds a model is its only validator.
- b. Model validation is unnecessary for OTC products.
- c. Valuation models need documented assumptions, testing, independent challenge and periodic review.
- d. A model is permanent once approved.

159. [Original | Single choice] [FMRP §4.6.4] For why a model may need revalidation, which practice should be followed?

- a. Revalidation is prohibited during market stress.
- b. New products, market conditions, data changes or altered assumptions can make an earlier validation unsuitable.
- c. Only a software upgrade can require revalidation.
- d. Profitability proves the model is valid.

160. [Original | Single choice] [FMRP §4.7] Which option is most accurate about a compliance framework?

- a. It translates laws and codes into policies, training, surveillance, testing, issue management and reporting.
- b. It is only a legal library.
- c. It is a substitute for employee judgement.
- d. It excludes market conduct because trading is wholesale.

161. [Original | Single choice] [FMRP §4.7] A dealer is assessing a risk-based compliance review. What should the dealer conclude?

- a. It tests every issue identically regardless of risk.
- b. It reviews only the easiest transactions.
- c. It ends when a policy is published.
- d. It gives more attention to higher-risk products, activities, systems, people and known control weaknesses.

162. [Original | Single choice] [FMRP §4.8] In an examination scenario about evidence of adherence, which answer is best?

- a. Profit proves compliance.
- b. Only customer complaints can demonstrate adherence.
- c. Supervision, surveillance, reconciliations, training records, testing and closed remediation actions demonstrate operation.
- d. A policy statement alone proves adherence.

163. [Original | Single choice] [FMRP §4.8] Which statement best describes a recurring control exception?

- a. It should be blamed on the customer automatically.
- b. It should be analysed for root cause, assigned, remediated and escalated if material or persistent.
- c. It should be waived indefinitely.
- d. It should be hidden from internal audit.

164. [Original | Single choice] [FMRP §4.9] A market participant is reviewing interaction among risk types. Which conclusion is correct?

- a. A single trade can create market, counterparty, liquidity, operational and conduct risk at the same time.
- b. Risk types are mutually exclusive.
- c. A profitable trade creates no operational risk.
- d. Credit risk matters only after settlement.

165. [Original | Single choice] [FMRP §4.9.1] For market risk, which practice should be followed?

- a. It is the risk that a process fails.
- b. It is the risk that a counterparty defaults.
- c. It is the risk that a customer changes address.
- d. It is the risk of loss from adverse movements in rates, prices, spreads, volatility or correlations.

166. [Original | Single choice] [FMRP §4.9.1] Which option is most accurate about a market-risk control?

- a. A credit review controls all market risk.
- b. A customer disclosure replaces a desk limit.
- c. Limits, valuation, hedging, stress testing and timely escalation can manage market risk.
- d. A trade confirmation eliminates price risk.

167. [Original | Single choice] [FMRP §4.9.2] A dealer is assessing counterparty risk. What should the dealer conclude?

- a. It is the risk that a quote is too wide.

- b. It is the risk that the other party fails to perform its obligations.
- c. It is only the risk of a rate move.
- d. It is the risk of a system outage.

168. [Original | Single choice] [FMRP §4.9.2] In an examination scenario about a counterparty-risk control, which answer is best?

- a. Credit limits, collateral, margin, netting, settlement controls and close-out rights can reduce exposure.
- b. A market quote removes default risk.
- c. An IDB's involvement guarantees payment.
- d. A customer signature eliminates legal exposure.

169. [Original | Single choice] [FMRP §4.9.3] Which statement best describes operational risk?

- a. It is only the risk of currency depreciation.
- b. It is the same as a counterparty rating.
- c. It is eliminated by having a profitable desk.
- d. It arises from failed or inadequate people, processes, systems or external events.

170. [Original | Single choice] [FMRP §4.9.3] A market participant is reviewing an operational-risk example. Which conclusion is correct?

- a. A counterparty defaulting is operational risk only.
- b. A customer choosing a different product is operational risk.
- c. An erroneous booking caused by weak controls is operational risk.
- d. A bond price falling is operational risk.

171. [Original | Combination choice] [FMRP §4.9] For risk-classification examples, which practice should be followed?

- (a) An adverse FX movement is market risk.
- (b) A counterparty bankruptcy is credit risk.
- (c) A failed process is operational risk.
- (d) A customer complaint is always market risk.

Choose one:

- A. (b), (c) and (d)
- B. (a), (b) and (c)
- C. (a), (b) and (d)
- D. (a), (c) and (d)

172. [Original | Single choice] [FMRP §4.10] Which option is most accurate about the purpose of AML/KYC?

- a. It identifies customers and risks, detects unusual activity and supports lawful escalation and reporting.
- b. It exists only to set trading limits.
- c. It applies only to cash deposits.
- d. It removes the need to know beneficial owners.

173. [Original | Single choice] [FMRP §4.10.1] A dealer is assessing an AML control. What should the dealer conclude?

- a. Customer due diligence is performed only after a suspicious report.
- b. AML is satisfied by checking a company logo.
- c. AML controls apply only to the back office.
- d. Risk-based CDD, screening, transaction monitoring, escalation, record retention and training are AML controls.

174. [Original | Single choice] [FMRP §4.10.1] In an examination scenario about tipping off, which answer is best?

- a. It is the same as a risk disclosure.
- b. It is encouraged to obtain more customer information.
- c. Telling a customer that a suspicious transaction report has been made can be prohibited and should be handled under the firm's process.
- d. It is always required for transparency.

175. [Original | Single choice] [FMRP §4.10.1] Which statement best describes CDD recordkeeping?

- a. Records are optional for wholesale customers.
- b. CDD documentation should be maintained so the firm can evidence identity, risk assessment and ongoing review.
- c. CDD documents should be deleted after onboarding.
- d. Only the customer's verbal statement is needed.

176. [Original | Single choice] [FMRP §4.10.2] A market participant is reviewing the Singapore financial-crime framework. Which conclusion is correct?

- a. It includes relevant statutes and MAS notices on laundering, terrorism financing, confiscation and related assistance.
- b. It consists solely of voluntary trading conventions.
- c. It applies only to securities exchanges.
- d. It has no recordkeeping implications.

177. [Original | Single choice] [FMRP §4.10.2] For a risk-based AML response, which practice should be followed?

- a. Every customer must receive exactly the same review.
- b. High risk permits less information.
- c. Low risk permits knowingly false data.
- d. The intensity of due diligence and monitoring should reflect the customer's and activity's risk.

178. [Original | Single choice] [FMRP §4.10.3] Which option is most accurate about customer onboarding?

- a. Use the salesperson's memory as the record.
- b. Treat a sophisticated customer as automatically low risk.
- c. Verify identity, authority, beneficial ownership, purpose, expected activity and risk before granting access.
- d. Open the account first and resolve all inconsistencies later.

179. [Original | Single choice] [FMRP §4.10.3] A dealer is assessing beneficial ownership. What should the dealer conclude?

- a. The IDB identifies the owner for the firm.
- b. The firm should identify the natural person or persons who ultimately own or control the customer where required.
- c. A company name is always sufficient.
- d. Beneficial ownership matters only for retail customers.

180. [Original | Single choice] [FMRP §4.10.3] In an examination scenario about ongoing KYC, which answer is best?

- a. Customer information and risk should be refreshed when circumstances or activity change and at appropriate review points.
- b. KYC ends when the first trade settles.
- c. Only the customer can identify a change.
- d. High-risk customers need no monitoring after approval.

181. [Original | Single choice] [FMRP §4.6.2] Which statement best describes capacity for normal and peak loads?

- a. Peak capacity is irrelevant because markets always slow down.
- b. Capacity can be increased after a failure with no plan.
- c. Only the trading screen needs capacity.
- d. Technology should be tested and sized for normal volumes, peak volumes and disruption scenarios.

182. [Original | Single choice] [FMRP §4.10.3] A market participant is reviewing inconsistent onboarding information. Which conclusion is correct?

- a. Ask another customer to confirm it.
- b. Change the record without evidence.
- c. The inconsistency should be resolved or escalated before activity proceeds.
- d. Ignore it to meet a revenue target.

183. [Original | Single choice] [FMRP §4.4] For middle-office access to P&L reports, which practice should be followed?

- a. Sharing P&L automatically breaches segregation.
- b. Middle office should receive information necessary for independent risk control and review.
- c. P&L must be hidden from middle office.
- d. Only front office may see any risk data.

Chapter 5 - Execution and Handling of Orders

184. [Original | Single choice] [FMRP §5.1.1] Which option is most accurate about a complete quote?

- a. It should identify product, side, amount, tenor, value date and conditions that affect price.
- b. It needs only a bid or offer with no product.
- c. It is always firm regardless of wording.
- d. It can omit value date because settlement is separate.

185. [Original | Single choice] [FMRP §5.1.1] A dealer is assessing an ambiguous dealing response. What should the dealer conclude?

- a. Assume the best possible terms.
- b. Book the trade and ask questions later.
- c. Let the IDB decide the missing terms.
- d. Clarify whether the price is firm, the amount and the relevant terms before treating it as a deal.

186. [Original | Single choice] [FMRP §5.1.2] In an examination scenario about a limit constraint during execution, which answer is best?

- a. Execute and seek approval later.
- b. Let the customer waive the limit.
- c. Be transparent about the available limit and do not commit an unauthorised amount.
- d. Ask an IDB to commit the full trade secretly.

187. [Original | Single choice] [FMRP §5.1.3] Which statement best describes when an IDB should disclose a name?

- a. Never, because anonymity is permanent.
- b. At the appropriate point under market convention and after the necessary credit or permission checks.
- c. Before any indicative quote.
- d. Only after settlement.

188. [Original | Single choice] [FMRP §5.1.3] A market participant is reviewing misusing a counterparty name. Which conclusion is correct?

- a. Using it to bypass limits or reveal confidential information is improper.

- b. It is required to increase brokerage.
- c. It is acceptable if the name is memorable.
- d. It eliminates the need for a credit review.

189. [Original | Single choice] [FMRP §5.1.4] For direct dealing, which practice should be followed?

- a. Direct dealing requires no record.
- b. Capacity never matters between institutions.
- c. Direct trades cannot create counterparty risk.
- d. The parties should understand identity, capacity, authority, terms and settlement instructions.

190. [Original | Single choice] [FMRP §5.1.4] Which option is most accurate about a principal's capacity?

- a. Principal dealing is always prohibited.
- b. A customer mandate makes capacity irrelevant.
- c. The dealer should make clear whether it acts as agent or principal before the transaction.
- d. Capacity can be changed after settlement without disclosure.

191. [Original | Single choice] [FMRP §5.1.5] A dealer is assessing electronic trading rules. What should the dealer conclude?

- a. They apply only to manual trades.
- b. They address quote validity, acceptance, timestamps, error handling and confirmation.
- c. They allow a user to exploit an obvious error.
- d. They remove the need to understand status messages.

192. [Original | Single choice] [FMRP §5.1.5] In an examination scenario about an electronic-platform error, which answer is best?

- a. Follow the platform's error-trade and escalation process and preserve the audit trail.
- b. Keep the error secret if it benefits the desk.
- c. Alter the timestamp manually.
- d. Assume the other party must accept any system result.

193. [Original | Single choice] [FMRP §5.1.6] Which statement best describes order priority?

- a. The dealer may select the most profitable customer.
- b. Orders need no timestamp if verbal.
- c. A personal order can always go first.
- d. Orders should be time-stamped and handled fairly within the customer's mandate and applicable priority rules.

194. [Original | Single choice] [FMRP §5.1.6] A market participant is reviewing a stop-loss instruction. Which conclusion is correct?

- a. It must be filled at the best historical price.
- b. It can be withheld until the market improves.
- c. It should be explained as subject to market execution and not as a guaranteed fixed price.
- d. It guarantees the trigger price.

195. [Original | Combination choice] [FMRP §5.1] For order-handling safeguards, which practice should be followed?

- (a) Record the order promptly.
- (b) Preserve customer confidentiality.
- (c) Execute within the mandate and applicable priority.
- (d) Trade personally ahead of the order.

Choose one:

- A. (b) and (d)
- B. (a), (b) and (c)
- C. (a) and (d)
- D. (b) and (c)

196. [Original | Single choice] [FMRP §5.2.1] Which option is most accurate about inside information?

- a. It is material non-public information that must not be misused for trading or improper communication.
- b. It is any public price quote.
- c. It is only a customer's preferred currency.
- d. It is information that has already been widely published.

197. [Original | Single choice] [FMRP §5.2.2] A dealer is assessing front running a known customer order. What should the dealer conclude?

- a. It is executing a customer order promptly.
- b. It is hedging after a customer trade is complete with controls.
- c. It is a normal spread quote.
- d. It is trading ahead of a known customer order to benefit from its expected price effect.

198. [Original | Single choice] [FMRP §5.2.3] In an examination scenario about withholding a customer order, which answer is best?

- a. It is harmless if the market is liquid.
- b. It is permitted after the customer signs a risk disclosure.
- c. It is improper when done to benefit the dealer, another customer or a personal position.
- d. It is always required for large orders.

199. [Original | Single choice] [FMRP §5.2.4] Which statement best describes disclosing a customer order?

- a. It is acceptable if the order is large.
- b. It requires a permitted basis and only the necessary information for execution or control.
- c. It is permitted to all market participants for price discovery.
- d. It is required to competitors.

200. [Original | Single choice] [FMRP §5.2.5] A market participant is reviewing bucketing. Which conclusion is correct?

- a. It involves handling an order in a way that conceals whether it was executed as represented, often by taking the opposite side.
- b. It is the normal use of an IDB.
- c. It is a valid settlement instruction.
- d. It is only a small booking error.

201. [Original | Single choice] [FMRP §5.2.6] For cornering, which practice should be followed?

- a. It is ordinary competitive trading.
- b. It is a confirmation mismatch.
- c. It is the same as a customer limit order.
- d. It seeks to control supply or price so others are forced to transact at distorted levels.

202. [Original | Single choice] [FMRP §5.2.7] Which option is most accurate about false trading?

- a. It is a transparent customer allocation.
- b. It is a standard market-making quote.
- c. It creates an appearance of active trading or price movement without genuine economic purpose.
- d. It is an ordinary hedge.

203. [Original | Single choice] [FMRP §5.2.8] A dealer is assessing fraudulent inducement. What should the dealer conclude?

- a. It is a confirmed settlement instruction.
- b. It uses false statements, deceptive promises or material omissions to induce a person to trade.
- c. It is a clear opinion with a disclosed basis.
- d. It is a genuine competitive quote.

204. [Original | Single choice] [FMRP §5.2.9] In an examination scenario about a deceptive device, which answer is best?

- a. A scheme designed to mislead or circumvent market rules can be prohibited even if it is not a named example.
- b. A compliant hedge is always deceptive.
- c. Only conduct causing a realised loss is deceptive.
- d. A written trade cannot involve deception.

205. [Original | Single choice] [FMRP §5.2.10] Which statement best describes illegal transaction information?

- a. It should be circulated to improve market colour.
- b. It should be published before investigation.
- c. It should be sold to an IDB.
- d. It should be escalated and not disseminated to encourage, conceal or repeat the conduct.

206. [Original | Single choice] [FMRP §5.2.11] A market participant is reviewing position parking. Which conclusion is correct?

- a. It is required for every month-end close.
- b. It is the same as lawful netting.
- c. It can conceal risk or shift P&L and therefore requires genuine purpose, authority, documentation and controls.
- d. It is safe because the position is temporary.

207. [Original | Combination choice] [FMRP §5.2] For market-misconduct examples, which practice should be followed?

- (a) Front running uses a customer order.
- (b) False trading creates an artificial appearance of activity.
- (c) Bucketing can conceal execution capacity.
- (d) A genuine competitive trade is automatically manipulation.

Choose one:

- A. (a), (c) and (d)
- B. (a), (b) and (c)
- C. (c) and (d)
- D. (a), (b) and (d)

208. [Original | Single choice] [FMRP §5.3.1] Which option is most accurate about an intraday deal check?

- a. It compares records while an error can still be corrected before settlement or exposure grows.
- b. It is only an end-of-year audit.
- c. It replaces all confirmations.
- d. It is performed only after a complaint.

209. [Original | Single choice] [FMRP §5.3.2] A dealer is assessing complete confirmation content. What should the dealer conclude?

- a. It needs only a notional amount.

- b. It should omit special conditions.
- c. It is complete if the trader remembers the quote.
- d. It includes parties, capacity, product, amount, price or rate, dates, settlement details, fees and special terms.

210. [Original | Single choice] [FMRP §5.3.3] In an examination scenario about an out-trade, which answer is best?

- a. It is a customer complaint by definition.
- b. It can be ignored until maturity.
- c. It is a mismatch that should be escalated and reconciled promptly without silently changing records.
- d. It is a profitable trade that needs no review.

211. [Original | Single choice] [FMRP §5.3.4] Which statement best describes a customer complaint?

- a. It is automatically evidence of misconduct.
- b. It should be recorded, acknowledged, investigated and resolved under the firm's process.
- c. It should be discouraged to protect the desk.
- d. It should be answered by deleting the trade record.

212. [Original | Single choice] [FMRP §5.3.5] A market participant is reviewing arbitration. Which conclusion is correct?

- a. The parties should follow the agreed procedure, preserve evidence and respect the applicable decision.
- b. It permits the parties to ignore confirmations.
- c. It is always decided by the IDB.
- d. It removes the need for legal analysis.

213. [Original | Single choice] [FMRP §5.4.2] For an FX spot value date, which practice should be followed?

- a. It is always two Singapore business days regardless of currency.
- b. It is the same as trade date.
- c. It can be chosen after settlement without agreement.
- d. It depends on the business-day calendars of both currencies and the relevant market convention.

214. [Original | Single choice] [FMRP §5.4.3] Which option is most accurate about an unforeseen FX holiday?

- a. The trade automatically disappears.
- b. The dealer should withhold all payments permanently.
- c. The parties should communicate and apply the agreed or recommended fallback rather than act unilaterally.
- d. The dealer should invent a new value date.

215. [Original | Single choice] [FMRP §5.4.4] A dealer is assessing the two legs of an FX swap. What should the dealer conclude?

- a. The legs have no relationship in the confirmation.
- b. The near leg exchanges currencies and the far leg reverses or re-exchanges them on a later value date.
- c. Both legs are independent customer options.
- d. Only the far leg transfers currencies.

216. [Original | Single choice] [FMRP §5.4.7] In an examination scenario about a currency option, which answer is best?

- a. Its terms include option rights or obligations, strike, expiry, premium and exercise or settlement conventions.
- b. It is an obligation for both parties with no asymmetry.
- c. It has no expiry.
- d. It can be confirmed with only a currency pair.

217. [Original | Single choice] [FMRP §5.5.1] Which statement best describes NDF trading hours?

- a. All NDFs trade only during Singapore office hours.
- b. The fixing window is irrelevant to an NDF.
- c. The customer chooses the market clock after execution.
- d. The dealer should follow the relevant market's dealing and fixing-window conventions.

218. [Original | Single choice] [FMRP §5.5.2] A market participant is reviewing an NDF fixing disruption. Which conclusion is correct?

- a. Cancel every NDF automatically.
- b. Use an unrecorded estimate without disclosure.
- c. Apply the contract's fallback or disruption provisions and communicate promptly.
- d. Choose a rate based on the dealer's position.

219. [Original | Single choice] [FMRP §5.5.3] For a complete NDF quote, which practice should be followed?

- a. It uses the same convention for every currency without checking.
- b. It identifies currency pair, direction, rate units, notional currency, tenor and whether the quote is firm or indicative.
- c. It requires only a forward points number.
- d. It can omit quote direction.

220. [Original | Single choice] [FMRP §5.5.4] Which option is most accurate about fixing date versus maturity?

- a. The fixing date determines the reference rate while maturity or settlement follows the contract convention.
- b. They are always the same date.
- c. Maturity determines the fixing rate by itself.
- d. The dealer can choose either date after the trade.

221. [Original | Single choice] [FMRP §5.5.5] A dealer is assessing NDF settlement. What should the dealer conclude?

- a. It requires physical delivery of the non-deliverable currency.
- b. It is always the full notional in both currencies.
- c. It is calculated only from the spot rate on trade date.
- d. It is normally the net cash difference based on the contracted and fixing rates, paid under the agreed currency and date convention.

222. [Original | Single choice] [FMRP §5.6.1] In an examination scenario about a clear money-market quote, which answer is best?

- a. It omits tenor because the customer knows the market.
- b. It uses the trade date as settlement date automatically.
- c. It states or makes clear value date, tenor, marketable amount and the relevant settlement dates.
- d. It states only the rate.

223. [Original | Single choice] [FMRP §5.6.2] Which statement best describes an interest-rate option delta hedge?

- a. A delta hedge is prohibited in all interest-rate options.
- b. The assumption should be explicitly discussed because it is not automatic under the convention.
- c. A simultaneous hedge is always assumed.
- d. Delta hedges apply only to FX.

224. [Original | Single choice] [FMRP §5.7.1] A market participant is reviewing a debt-security holiday. Which conclusion is correct?

- a. It can change the settlement date under the relevant currency, security or platform calendar.

- b. It never affects settlement.
- c. It cancels the coupon automatically.
- d. It changes the issue price retroactively.

225. [Original | Single choice] [FMRP §5.7.2] For a debt-security price quote, which practice should be followed?

- a. It needs only a rounded number.
- b. Accrued interest is never relevant.
- c. The buyer and seller may use different quotation bases.
- d. It should state price or yield basis, units and accrued-interest treatment so consideration can be calculated.

226. [Original | Single choice] [FMRP §5.7.3] Which option is most accurate about accrued interest?

- a. It is always included in a clean price.
- b. It is unrelated to coupon terms.
- c. It compensates the seller for coupon earned since the last coupon date under the applicable day-count convention.
- d. It is a penalty for early settlement.

227. [Original | Single choice] [FMRP §5.7.4] A dealer is assessing an irregular coupon period. What should the dealer conclude?

- a. It changes the issuer's identity.
- b. It may require attention to special first or last periods, ex-coupon status and business-day adjustments.
- c. It is always treated as a full regular period.
- d. It removes the need for a confirmation.

228. [Original | Single choice] [FMRP §5.7.5] In an examination scenario about a settlement platform control, which answer is best?

- a. The platform, eligibility, cut-offs and account details should be captured in the confirmation.
- b. The platform is irrelevant after the price is agreed.
- c. Any account can settle any security.
- d. Only the front office should know the platform.

229. [Original | Single choice] [FMRP §5.8.2] Which statement best describes the SGS market-practice guide?

- a. It overrides a binding MAS directive.
- b. It applies only to equity securities.
- c. It is optional after an oral agreement.
- d. It sets operational conventions that dealers should use with current binding MAS rules and directives.

230. [Original | Single choice] [FMRP §5.8.3] A market participant is reviewing SGS trading hours. Which conclusion is correct?

- a. SGS uses only the New York FX close.
- b. Trading hours matter only to the customer.
- c. A dealer should follow SGS hours and cut-offs rather than assume FX hours apply.
- d. SGS trades at all times without cut-offs.

231. [Original | Single choice] [FMRP §5.8.4] For an SGS quotation, which practice should be followed?

- a. Tick size has no effect on a trade.
- b. It should follow the market price or yield convention, tick size and accrued-interest treatment.
- c. It can omit whether it is price or yield.
- d. Every quote is a firm settlement instruction.

232. [Original | Single choice] [FMRP §5.8.5] Which option is most accurate about an SGS market-lot transaction?

- a. The dealer should identify whether the amount is standard or non-standard and obtain agreement for the relevant convention.
- b. Every amount is automatically a market lot.
- c. Odd lots can be hidden until settlement.
- d. Market lots are relevant only to equity trades.

233. [Original | Single choice] [FMRP §5.8.6] A dealer is assessing securities borrowing and lending. What should the dealer conclude?

- a. It is an unsecured gift of securities.
- b. It requires no collateral or records.
- c. It eliminates all counterparty risk.
- d. It requires agreed terms, collateral, authorisation and controls for counterparty, settlement and recall risk.

234. [Original | Single choice] [FMRP §5.9] In an examination scenario about a restricted SGD-lending structure, which answer is best?

- a. Only cash loans count, never swaps.
- b. A customer can waive a MAS notice.
- c. The dealer must assess whether the borrower is a non-resident and whether an SGD loan or FX swap falls within a MAS restriction or exemption.
- d. Any SGD transaction is automatically unrestricted.

235. [Original | Single choice] [FMRP §5.10.1] Which statement best describes an IDB receiving special conditions?

- a. It should take the principal's position.
- b. It should relay the conditions accurately and without omission.
- c. It should remove conditions to speed execution.
- d. It should charge a higher brokerage without disclosure.

236. [Original | Single choice] [FMRP §5.10.2] A market participant is reviewing a prime-broker arrangement. Which conclusion is correct?

- a. It should allocate authority, execution, give-up, margin, limits, settlement and default obligations clearly.
- b. It makes the executing dealer immune from counterparty risk.
- c. It removes the need for confirmations.
- d. It permits any client trade without limits.

237. [Original | Single choice] [FMRP §5.10.3] For an e-trading platform outage, which practice should be followed?

- a. Use a personal chat without recording the trade.
- b. Assume all unconfirmed orders executed.
- c. Delete orders that cannot be seen on screen.
- d. Use the approved contingency and error-handling process and preserve the order and timestamp record.

238. [Original | Single choice] [FMRP §5.4.4] Which option is most accurate about a clear FX-swap confirmation?

- a. It can omit the far-leg date.
- b. It treats a swap as one unqualified spot trade.
- c. It records both legs, currencies, amounts, rates or points, value dates and settlement instructions.
- d. It records only the near-leg rate.

Chapter 6 - Confirmation and Settlement

239. [Original | Single choice] [FMRP §6.1.1] A dealer is assessing processing capacity. What should the dealer conclude?

- a. Capacity cannot be tested before a disruption.
- b. It should handle normal and peak volumes and be tested for disruption scenarios.
- c. It only needs to handle the average day.
- d. It is a front-office concern with no settlement impact.

240. [Original | Single choice] [FMRP §6.1.2] In an examination scenario about straight-through processing, which answer is best?

- a. It passes accurate trade data through confirmation, settlement and accounting with minimal re-entry.
- b. It eliminates the need for exception review.
- c. It means every trade is processed manually.
- d. It allows unauthorised changes without a log.

241. [Original | Single choice] [FMRP §6.1.3] Which statement best describes data integrity?

- a. Data integrity means a trade is profitable.
- b. Only the price needs protection.
- c. A confirmation can repair any corrupted data without controls.
- d. Trade data should be complete, accurate, consistent, authorised and protected from unauthorised change.

242. [Original | Single choice] [FMRP §6.2.1] A market participant is reviewing segregated confirmation functions. Which conclusion is correct?

- a. Segregation prevents all communication.
- b. Segregation matters only for cash trades.
- c. Execution, confirmation, settlement and reconciliation should not be under one person's unrestricted control.
- d. One dealer should control every lifecycle stage.

243. [Original | Single choice] [FMRP §6.2.2] For as soon as practicable, which practice should be followed?

- a. It means confirmation must occur before negotiation.
- b. Timely confirmation permits prompt matching and correction before value date and exposure increases.
- c. Confirmation can wait until maturity.
- d. Timing is irrelevant if the counterparty is trusted.

244. [Original | Single choice] [FMRP §6.2.3] Which option is most accurate about key confirmation data?

- a. It includes parties, capacity, product, amount, price or rate, dates, settlement details, fees and special terms.
- b. It includes only the notional.
- c. It excludes payment instructions.
- d. It is satisfied by a trader's notebook.

245. [Original | Single choice] [FMRP §6.2.4] A dealer is assessing a single-party confirmation process. What should the dealer conclude?

- a. The party can change any term without notification.
- b. A counterparty never needs a record.
- c. A single-party process removes operational risk.
- d. It should still include independent controls, matching and exception monitoring.

246. [Original | Single choice] [FMRP §6.2.5] In an examination scenario about an auto-generated confirmation, which answer is best?

- a. Any employee may edit the template.

- b. Auto-generation guarantees the trade was authorised.
- c. It is effective only with reliable source data, controlled templates, access rights and exception handling.
- d. Automation removes the need for change controls.

247. [Original | Single choice] [FMRP §6.2.6] Which statement best describes a block transaction?

- a. Block trades need no counterparty record.
- b. Allocations should preserve economics, identify beneficiaries and produce accurate individual confirmations.
- c. A block can remain unallocated indefinitely.
- d. Allocation can change the agreed economics without approval.

248. [Original | Single choice] [FMRP §6.2.7] A market participant is reviewing a confirmation discrepancy. Which conclusion is correct?

- a. It should be investigated, documented and resolved by authorised staff before settlement where possible.
- b. Silently amend whichever system is convenient.
- c. Let settlement proceed on a guess.
- d. Delete the counterparty confirmation.

249. [Original | Single choice] [FMRP §6.2.8] For product-specific confirmation, which practice should be followed?

- a. One generic template is sufficient for every product.
- b. Product terms are only relevant to traders.
- c. A product-specific confirmation creates legal risk and should be avoided.
- d. Content should reflect product features such as option exercise, swap legs, NDF fixing or securities accrual.

250. [Original | Single choice] [FMRP §6.3.1] Which option is most accurate about mitigating settlement risk?

- a. Use an unverified account to avoid delay.
- b. Settlement risk is eliminated by a wide spread.
- c. Delivery-versus-payment, valid instructions, matching, cut-off monitoring and escalation reduce settlement risk.
- d. Settle first and verify later.

251. [Original | Single choice] [FMRP §6.3.2] A dealer is assessing netting. What should the dealer conclude?

- a. It allows the firm to ignore settlement dates.
- b. It can reduce payment numbers and values when legally enforceable, within the agreed scope and operationally supported.
- c. It is valid for every party without an agreement.
- d. It increases every principal payment.

252. [Original | Combination choice] [FMRP §6.3] In an examination scenario about settlement controls for third-party and late payments, which answer is best?

- (a) Use valid settlement instructions.
- (b) Match confirmations.
- (c) Escalate failed or late payments.
- (d) Make any third-party payment without documentation.

Choose one:

- A. (a), (b) and (c)
- B. (a), (c) and (d)
- C. (b), (c) and (d)
- D. (a), (b), (c) and (d)

253. [Original | Single choice] [FMRP §6.3.3] Which statement best describes a third-party payment?

- a. It is always prohibited.
- b. It is always permitted on a phone request.
- c. It needs no counterparty confirmation.
- d. It requires a valid documented reason, appropriate approval and fraud and AML controls.

254. [Original | Single choice] [FMRP §6.4] A market participant is reviewing standing settlement instructions. Which conclusion is correct?

- a. They are never reviewed after onboarding.
- b. A last-minute change is safer than a standing instruction.
- c. They should be authorised, independently checked and changed through controlled procedures.
- d. They can be changed by any dealer in a chat.

255. [Original | Single choice] [FMRP §6.4] For a suspicious SSI change, which practice should be followed?

- a. Delete the prior SSI without evidence.
- b. Verify it through an independent approved channel and escalate before using it.
- c. Use it immediately to meet the cut-off.
- d. Ask the sender to confirm by the same channel only.

256. [Original | Single choice] [FMRP §6.5] Which option is most accurate about nostro balance monitoring?

- a. Forecasts, intraday liquidity, cut-offs and escalation help ensure expected payments can be made.
- b. Nostro balances are relevant only after a payment fails.
- c. A positive end-of-day balance guarantees every payment.
- d. Treasury need not know expected settlement flows.

257. [Original | Single choice] [FMRP §6.5.1] A dealer is assessing SGD payment controls. What should the dealer conclude?

- a. SGD payments use every currency's calendar identically.
- b. Local cut-offs never matter.
- c. SGD payments can be withheld without coordination.
- d. They should account for local settlement systems, MAS or market cut-offs and disruption procedures.

258. [Original | Single choice] [FMRP §6.6] In an examination scenario about account reconciliation, which answer is best?

- a. Only annual reconciliation is necessary.
- b. Unresolved breaks should be netted away.
- c. Breaks should be identified, aged, assigned, investigated and escalated promptly.
- d. A reconciliation is complete if the closing balance looks plausible.

259. [Original | Single choice] [FMRP §6.7] Which statement best describes late-payment penalties?

- a. They never need to be communicated.
- b. They should be calculated and settled under the applicable trade or governing agreement and repeated failures escalated.
- c. They are optional if the delay is short.
- d. They can be set by the dealer after default.

260. [Original | Single choice] [FMRP §6.2.7] A market participant is reviewing resolving a mismatch. Which conclusion is correct?

- a. Identify the source, contact the relevant party, document the agreed correction and update controlled records.

- b. Change records without explaining the difference.
- c. Wait until a complaint is received.
- d. Book a compensating trade automatically.

261. [Original | Single choice] [FMRP §6.3.1] For principal settlement risk, which practice should be followed?

- a. It guarantees the counterparty's solvency forever.
- b. It applies only to unsecured loans.
- c. It means no confirmation is needed.
- d. Delivery-versus-payment reduces the risk of paying without receiving the corresponding asset.

262. [Original | Single choice] [FMRP §6.2.8] Which option is most accurate about an NDF confirmation?

- a. It can omit the fixing source.
- b. It uses only the original notional as settlement.
- c. It should include fixing source, fixing date, settlement currency and the net-settlement convention.
- d. It needs physical delivery of the restricted currency.

Chapter 7 - Handling Market Disruptions

263. [Original | Single choice] [FMRP §7.1] A dealer is assessing the objective during a market disruption. What should the dealer conclude?

- a. Stop all communication until prices normalise.
- b. Preserve fair dealing, reliable communication, contractual performance and orderly settlement.
- c. Maximise the desk's advantage from scarce liquidity.
- d. Suspend every contract automatically.

264. [Original | Single choice] [FMRP §7.2] In an examination scenario about a market disruption, which answer is best?

- a. It can affect prices, communication, payments, fixing, clearing or settlement because of system, infrastructure or external events.
- b. It is limited to a price move.
- c. It occurs only when MAS declares it.
- d. It removes all contractual obligations.

265. [Original | Single choice] [FMRP §7.3] Which statement best describes SFEMC's role in disruption?

- a. SFEMC can guarantee every payment.
- b. SFEMC can replace a court in every dispute.
- c. SFEMC can authorise market manipulation.
- d. SFEMC can convene members, discuss proposals, issue statements and recommend procedures with regulators and participants.

266. [Original | Single choice] [FMRP §7.4] A market participant is reviewing effective disruption communication. Which conclusion is correct?

- a. Communicate only with the front office.
- b. Send unverified rumours to all customers.
- c. Maintain documented, reliable communication with counterparties, customers, agents, regulators and internal functions.
- d. Use only the normal channel even when unavailable.

267. [**Original | Single choice**] [**FMRP §7.5**] **For conduct during disruption, which practice should be followed?**

- a. A disruption removes the duty to record decisions.
- b. Normal integrity, confidentiality and fair-dealing obligations continue during stress.
- c. A disruption permits front running.
- d. A disruption permits fabricated prices.

268. [**Original | Single choice**] [**FMRP §7.6.1**] **Which option is most accurate about alternative settlement?**

- a. Use an approved contractual or market-recommended alternative with documented authority, timing and terms.
- b. Choose any convenient account without confirmation.
- c. Change settlement unilaterally and silently.
- d. Cancel the trade automatically.

269. [**Original | Single choice**] [**FMRP §7.6.2**] **A dealer is assessing unilateral payment suspension. What should the dealer conclude?**

- a. It is the default response to any outage.
- b. It is always required to protect liquidity.
- c. It can be imposed by one dealer.
- d. It should be avoided unless authorised by law, agreement or competent authority.

270. [**Original | Single choice**] [**FMRP §7.6.3**] **In an examination scenario about an SGD settlement disruption, which answer is best?**

- a. Withhold all SGD payments indefinitely.
- b. Use a new rate without documenting it.
- c. Follow relevant MAS and SFEMC instructions or recommendations and the agreed settlement terms.
- d. Follow whichever instruction benefits the desk.

271. [**Original | Single choice**] [**FMRP §7.7**] **Which statement best describes CCP rules during disruption?**

- a. CCP involvement eliminates all operational risk.
- b. The CCP rulebook governs margin, default management, settlement and emergency powers for cleared trades.
- c. The CCP rulebook is optional during stress.
- d. A participant may replace CCP procedures with a private chat.

272. [**Original | Combination choice**] [**FMRP §7.4**] **A market participant is reviewing disruption-response priorities. Which conclusion is correct?**

- (a) Communicate with relevant counterparties and agents.
- (b) Use approved alternative channels if necessary.
- (c) Record decisions and communications.
- (d) Stop all payments without authority.

Choose one:

- A. (a), (b) and (c)
- B. (b) and (c)
- C. (b) and (d)
- D. (c) and (d)

273. [**Original | Single choice**] [**FMRP §7.2**] **For a disruption fallback, which practice should be followed?**

- a. One universal fallback applies to every product.
- b. A dealer can choose any fallback after seeing P&L.

- c. Fallbacks are irrelevant if communication is available.
- d. It should be based on the product, contract, affected function and applicable market recommendation.

274. [Original | Single choice] [FMRP §7.3] Which option is most accurate about the limit of SFEMC guidance?

- a. It grants individual trading licences.
- b. It makes participant controls unnecessary.
- c. It informs and coordinates market practice but does not remove a participant's legal or contractual duty.
- d. It automatically changes all contracts.

275. [Original | Single choice] [FMRP §7.4] A dealer is assessing a failed primary communication channel. What should the dealer conclude?

- a. Send one generic message and assume it was received.
- b. Use a documented approved alternative and verify receipt with the relevant party.
- c. Use an unrecorded personal channel with no verification.
- d. Wait until settlement fails.

276. [Original | Single choice] [FMRP §7.5] In an examination scenario about scarce liquidity during disruption, which answer is best?

- a. A dealer must not exploit the condition through deception, unfair withholding or fabricated pricing.
- b. Scarce liquidity permits any price manipulation.
- c. Customers have no rights during disruption.
- d. The best control is to hide all market information.

277. [Original | Single choice] [FMRP §7.6.1] Which statement best describes documenting a settlement workaround?

- a. Only the new account number matters.
- b. A verbal agreement is sufficient without evidence.
- c. Documentation should be created after any dispute.
- d. Record the reason, authority, revised terms, communications and controls used.

278. [Original | Single choice] [FMRP §7.6.2] A market participant is reviewing coordination with a counterparty. Which conclusion is correct?

- a. Coordination is unnecessary if the market is stressed.
- b. Only the settlement agent decides every term.
- c. Coordinate before changing timing or payment so the parties do not create mismatched exposures.
- d. The first participant to suspend is protected.

279. [Original | Single choice] [FMRP §7.1] For a disruption response plan, which practice should be followed?

- a. It is needed only after an event occurs.
- b. It should identify triggers, responsibilities, communication channels, fallback procedures, approvals and post-event review.
- c. It should consist only of a list of phone numbers.
- d. It should authorise every desk to suspend trades independently.

280. [Original | Single choice] [FMRP §7.7] Which option is most accurate about a CCP margin call during disruption?

- a. The participant should follow the CCP rulebook, maintain liquidity planning and escalate any inability to meet the call.
- b. The participant may ignore the call because the market is disrupted.
- c. The CCP must waive every margin requirement.
- d. A private counterparty agreement automatically overrides the CCP rulebook.

Chapter 8 - Benchmark Rate Setting

281. [Original | Single choice] [FMRP §8.1.1] A dealer is assessing a traded benchmark. What should the dealer conclude?

- a. It is based solely on an anonymous opinion survey.
- b. It has no transaction eligibility rules.
- c. It is exempt from audit trails.
- d. It is calculated from eligible transaction data under its methodology.

282. [Original | Single choice] [FMRP §8.1.2] In an examination scenario about IOSCO principles, which answer is best?

- a. They set every local benchmark value directly.
- b. They are a customer order-management system.
- c. They provide an international reference for benchmark governance, methodology, quality, accountability and oversight.
- d. They replace Singapore law.

283. [Original | Single choice] [FMRP §8.2.1] Which statement best describes an oversight committee?

- a. It calculates every transaction price manually.
- b. It provides governance challenge over methodology, conflicts, complaints and changes.
- c. It secretly trades to move the benchmark.
- d. It replaces every submitter.

284. [Original | Single choice] [FMRP §8.2.2] A market participant is reviewing a benchmark administrator. Which conclusion is correct?

- a. It oversees methodology, governance, contributors and the publication process.
- b. It is merely a customer submitting a quote.
- c. It is the same as every market participant.
- d. It has no responsibility for methodology.

285. [Original | Single choice] [FMRP §8.2.3] For a calculation agent, which practice should be followed?

- a. It chooses a rate to benefit its trading book.
- b. It accepts every input without validation.
- c. It is responsible for customer onboarding.
- d. It applies the published methodology to eligible inputs and calculates the benchmark.

286. [Original | Single choice] [FMRP §8.2.4] Which option is most accurate about a submitter?

- a. It can submit any rate that benefits its position.
- b. It is independent of all internal controls.
- c. It contributes authorised, representative, evidence-based rates or data on behalf of a market participant.
- d. It may copy a competitor's intended contribution.

287. [Original | Single choice] [FMRP §8.3.1] A dealer is assessing a reasonable basis for a contribution. What should the dealer conclude?

- a. It is determined after publication.
- b. It can include eligible transactions, relevant market data, quotes or documented expert judgement under the evidence hierarchy.
- c. It is whatever rate produces the desired result.
- d. It must always be a personal estimate with no support.

288. [**Original | Single choice**] [**FMRP §8.3.3**] **In an examination scenario about limited-liquidity evidence, which answer is best?**

- a. A submitter may use permitted related or proxy data, indicative prices or expert judgement with documented adjustments.
- b. A submitter may use any invented price.
- c. Limited liquidity removes all recordkeeping.
- d. The contributor may ask a competitor for its desired rate.

289. [**Original | Single choice**] [**FMRP §8.4.1**] **Which statement best describes submitter policies?**

- a. They should reward contributions that move the benchmark.
- b. They should permit undocumented overrides.
- c. They should prevent audit trails.
- d. They should support methodology compliance, objective evidence, conflict mitigation, electronic data integrity and protection from influence.

290. [**Original | Single choice**] [**FMRP §8.4.3**] **A market participant is reviewing collusion. Which conclusion is correct?**

- a. Collusion is required for consistency.
- b. Only written collusion is prohibited.
- c. A submitter must not discuss intended contributions or allow internal or external preferences to influence the submission.
- d. Collusion is acceptable when two banks agree.

291. [**Original | Single choice**] [**FMRP §8.4.3**] **For withholding a bona fide trade, which practice should be followed?**

- a. The submission process overrides market conduct rules.
- b. Deliberately withholding it from a window or venue to exclude it from a traded benchmark can be prohibited.
- c. Withholding is always required in low liquidity.
- d. A trade can be withheld to help a position.

292. [**Original | Single choice**] [**FMRP §8.4.4**] **Which option is most accurate about a non-overseen benchmark?**

- a. Follow the relevant owner's laws, regulations and practices; use Blue Book requirements as guidance if none exist.
- b. Apply no conduct standard.
- c. Use the contributor's preferred rules.
- d. Assume MAS publishes every such benchmark.

293. [**Original | Single choice**] [**FMRP §8.5.1**] **A dealer is assessing a benchmark contributor's qualifications. What should the dealer conclude?**

- a. An intern is suitable if the senior dealer is busy.
- b. Authority is irrelevant if the benchmark is small.
- c. Training can be replaced by a market rumour.
- d. The person should have appropriate experience, seniority, fit-and-proper character, training and formal authority.

294. [**Original | Single choice**] [**FMRP §8.5.2**] **In an examination scenario about dual control for submissions, which answer is best?**

- a. A checker need not understand the methodology.
- b. Dual control means two traders choose the same preferred rate.
- c. A sufficiently senior checker should validate and be able to challenge the submitter's input.
- d. The submitter should approve their own input with no review.

295. [**Original | Single choice**] [**FMRP §8.5.3**] **Which statement best describes benchmark information management?**

- a. A submitter should keep records personally with no oversight.
- b. Historical submissions, trends and exceptions should be analysed and presented to an appropriate risk forum.
- c. Only the final published rate matters.
- d. Trend analysis is prohibited.

296. [**Original | Single choice**] [**FMRP §8.5.4**] **A market participant is reviewing benchmark record retention. Which conclusion is correct?**

- a. Relevant market data, submissions, supporting documents and queries should normally be retained for at least five years or longer if required.
- b. Retention is limited to 90 days.
- c. Only the final rate must be saved.
- d. Records may be deleted after publication.

297. [**Original | Single choice**] [**FMRP §8.5.6**] **For segregation in benchmark setting, which practice should be followed?**

- a. All three roles should share one terminal.
- b. Segregation is unnecessary for surveyed benchmarks.
- c. The trader should control the checker.
- d. Seating, access and reporting separation should minimise conflicts among submitters, traders and reviewers.

298. [**Original | Single choice**] [**FMRP §8.5.7**] **Which option is most accurate about escalating a suspicious contribution?**

- a. Ask the suspected person to approve the report.
- b. Wait until the benchmark is published before recording it.
- c. Use internal escalation and, where appropriate, notify the administrator and MAS under the relevant process.
- d. Adjust the rate quietly.

299. [**Original | Single choice**] [**FMRP §8.5.8**] **A dealer is assessing electronic communication surveillance. What should the dealer conclude?**

- a. Surveillance is unnecessary if the rate is reasonable.
- b. Relevant communications between submission parties should be surveilled, retained and escalated where suspicious.
- c. Surveillance should stop at publication.
- d. Only phone calls require surveillance.

300. [**Original | Single choice**] [**FMRP §8.5.9**] **In an examination scenario about independent assurance, which answer is best?**

- a. The process should be covered annually by independent audit or assurance, with results available to MAS on request.
- b. The submitter alone should certify the process.
- c. Audit is needed only after manipulation.
- d. Independent review is prohibited for benchmark processes.